Household Vehicle Purchase Timing: Utility, Research Questions, and Selected Papers

The Purchase Decision Within the Auto-Loan Research Exercise

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Abstract

This draft develops the household vehicle-purchase decision that precedes auto-loan demand. It organizes the decision into Need, Ability, and Choice, connects these questions to a provisional dynamic utility formulation, and defines purchase probabilities over six- and twelve-month horizons. Section 4 identifies the papers the model would build on and walks through each one's mathematics step by step: the setup, the derivation in the authors' notation, the assumption each step uses, and what we would keep or change. The papers cover dynamic discrete choice of when to buy, identification and estimation, latent household states, liquidity in the purchase decision, and initial conditions; three are pending full-text review. A compatibility summary states which components combine directly and which require added assumptions. The broader literature review follows. Creditworthiness, the financing choice, and household risk attitude are left out at this stage; estimation and empirical validation remain open.

1 Purpose and Scope

The broader auto-loan exercise asks which existing bank customers may take an auto loan over a future six- or twelve-month interval. This review develops the preceding household decision: whether and when to purchase a vehicle. A vehicle purchase, borrowing to fund that purchase, and originating a loan with Chase are different events. The present formulation concerns the first. Financing conditions enter because they affect what a household can afford; lender selection, offer design, and repayment-risk modeling remain outside this stage.

The objective is to connect a household's purchase probability to the utility of its transportation options and the resources needed to obtain them. Need, Ability, and Choice organize the economic questions within that decision. Section 2 sets out the utility argument; Section 3 states the research questions, a provisional mathematical formulation, and their hierarchy; Section 4 walks through the mathematics and assumptions of the papers the model would build on; Section 5 reviews the broader evidence. This is a formulation and literature review for discussion. It reports no estimated parameters, identification proof, simulation results, or validated forecasts.

2 Household Utility and the Value of Buying Now

A household obtains transportation services from the vehicles it holds and from alternatives such as public transportation. A purchase changes those services, uses funds that could support other consumption, and changes future ownership costs. The relevant comparison is therefore the expected discounted utility of buying now against that of continuing with the current arrangement, repairing

it, changing travel mode, or waiting. Random utility provides the choice-based foundation; dynamic replacement models make the continuation value explicit (McFadden, 1974; Rust, 1987; Schiraldi, 2011).

2.1 What the household values

Let h index households and r index decision months. Write s_{hr} for the household's pre-decision state and d for a discrete action, including the vehicle involved when a transaction occurs. Let $\mathcal{X}_{hr}^d$ be its fleet immediately after action d, c its nondurable consumption during the month, m_{hr} its composition, and ℓ_{hr} its location and transport environment. A candidate flow utility is

$$u_h(s_{hr}, d, c) = \theta_h \log(c/\bar{c}) + g_h(\mathcal{X}_{hr}^d, m_{hr}, \ell_{hr}; d) - \kappa_h(s_{hr}, d), \qquad \theta_h > 0. \tag{1}$$

Here $\bar{c} > 0$ is a fixed reference consumption level, g_h values transportation services, and κ_h represents the nonmonetary inconvenience of adjustment, search, or switching. Monetary transaction costs belong in the budget. Allowing g_h to depend on the action also accommodates changes in non-car travel arrangements. The logarithm is a tractable concave specification to investigate, rather than a functional form established by the cited studies.

The earlier working formulation valued successive vehicles separately and penalized fleet age. One possible version of its transport term is

$$g_h(\mathcal{X}^d, m, \ell; d) = \sum_{k=1}^{n^d} \gamma_{hk}(m, \ell) + \sum_{v \in \mathcal{X}^d} (b_h^\top x_v - \eta_h a_v) + \psi_h(m, \ell; d), \tag{2}$$

where n^d is fleet size, x_v records vehicle attributes other than age, a_v is vehicle age, and ψ_h captures the value of available non-car transport under the action. Separate γ_{hk} terms allow the value of the first vehicle to differ from that of an additional vehicle. Household vehicle-holding studies motivate attention to fleet size and composition (Berkovec and Rust, 1985; Bhat and Pulugurta, 1998); they do not establish this additive specification. A positive age penalty is a candidate restriction to test, since age alone does not measure reliability or maintenance costs. Retaining vehicle-level information also avoids treating two different fleets with the same oldest vehicle age as identical.

2.2 How Need, Ability, and Choice enter

Need concerns the transportation services the household wants relative to those its current arrangements provide. Fleet deterioration, changing drivers, a different commute, and discretionary upgrading can change the gain from adjustment. In (1), these changes affect the transport term and the future states the household expects. Need does not require a separately observed emergency or life event before a purchase is possible.

Ability determines which actions and consumption plans satisfy the household's resource constraints. A particular vehicle can be infeasible while a cheaper vehicle remains attainable. Liquidity and borrowing terms therefore shape the feasible set and the consumption forgone when buying (Attanasio et al., 2008; Adams et al., 2009). Ability is not identified with the coefficient on consumption, nor with a universal credit-approval indicator.

Choice is the comparison of the total values of feasible actions. It includes the tradeoff between transport services and other consumption, adjustment costs, and the value of waiting. It is not represented by the transaction-cost term alone. These three layers describe different aspects of one decision; they need not be independent, separately observed, or chronological.

2.3 Why timing belongs in utility

Let $\mathcal{D}(s)$ be the feasible discrete actions and $\mathcal{C}(s,d)$ the feasible consumption choices under action d. The systematic value of an action is

$$v_h(s,d) = \max_{c \in \mathcal{C}(s,d)} \left\{ u_h(s,d,c) + \beta_h \mathbb{E}\left[\bar{V}_h(s') \mid s,d,c \right] \right\}, \qquad 0 < \beta_h < 1, \tag{3}$$

where β_h discounts future utility and $\bar{V}_h$ is the expected value before the next choice shocks are realized. With an additive action-specific shock $\varepsilon_{hr}(d)$, the household selects the action maximizing $v_h(s,d) + \varepsilon_{hr}(d)$. Thus buying can become attractive because current transportation improves, because the household's budget changes, or because waiting becomes less valuable. Anticipated events affect this comparison through expectations, not through future observations supplied to a forecast.

Equations (1)–(3) state a candidate decision problem. Their empirical interpretation requires a defensible state, budget, transition law, and shock distribution. Utility differences are measured on a normalized utility scale; they are not automatically monetary welfare gains. Counterfactual effects of changing prices or financing terms require additional identification and stability assumptions (Magnac and Thesmar, 2002). The next section makes these requirements and the questions they serve explicit.

3 Research Questions and Provisional Formulation

3.1 The outcome to explain and predict

The main question is: *How do a household's transportation requirements, financial opportunities, and intertemporal choices determine its probability of purchasing a vehicle over a specified future interval?* At the end of month t, define

$$F_h(t,H) = \mathbb{P}\left(T_h^P \le t + H \mid \mathcal{I}_{ht} \right), \qquad H \in \{6, 12\}, \tag{4}$$

where $T_h^P > t$ is the month of the next purchase and $\mathcal{I}_{ht}$ contains only information available at the forecast origin. The existing 24-month horizon can be retained as an extension; the primary horizons are six and twelve months. "Now" refers to the next decision month, corresponding to $H = 1$.

For this draft, a purchase includes a fleet addition or a replacement bought with cash or credit. Disposal without replacement and taking a new lease do not themselves count as purchases. They can change the household's state and its subsequent purchase probability. This event definition is a working choice for review: if the intended endpoint includes leased vehicles, the event set and labels must be broadened consistently. A household may buy after first disposing of a vehicle, and that later purchase still counts in (4).

The household is the analytical unit because the model concerns shared vehicle holdings and resources. Constructing that unit requires a verified household linkage. Complete fleet records, outside-bank balances, consumption, and financing opportunities are data requirements, not assumed properties of available bank data.

3.2 Questions within the three layers

RQ1: Need—what changes the value of the current transportation arrangement? The first subquestion concerns the starting position: the number, age, condition, and use of current

vehicles, together with other transport options. The second concerns changes in requirements: new drivers, household composition, work, residence, and unexpected loss or failure. The third concerns timing: whether adjustment pressure is gradual, anticipated, or sudden. The empirical task is to determine which observable histories distinguish these channels and whether they help explain addition and replacement separately. No single observed event is assumed to reveal a latent Need state.

RQ2: Ability—which transactions can the household undertake? The first subquestion concerns initial funds, including liquid balances and net trade-in equity. The second concerns recurring obligations and the consumption that remains after a transaction. The third concerns available vehicles and contract terms, and how saving or waiting changes feasibility. The question is transaction-specific: does a given purchase leave a feasible consumption and payment plan? Loan approval, willingness to borrow, and the attractiveness of an approved contract must remain distinct.

RQ3: Choice—which feasible action is preferred, and when? The first subquestion compares continuation, repair, other transport arrangements, and fleet adjustment. Conditional on adjustment, the next question distinguishes addition, replacement, and disposal. Conditional on purchase, the household chooses vehicle attributes, new or used status, and price tier. Across these alternatives it also compares acting now with waiting. Whether these margins require correlated choice shocks or heterogeneous preferences is a modeling question; the hierarchy in Figure 1 does not itself select a nested-logit specification.

RQ4: Integration—what can the observations distinguish? The same income change can affect transport preferences, feasibility, and the value of waiting. The research must determine whether the available data separate these mechanisms, or support only prediction of their combined outcome. A further test is whether the utility formulation improves calibrated purchase forecasts over a simpler discrete-time event-history model using the same information. Predictive improvement, identification of mechanisms, and the causal effect of contacting a customer are separate claims.

3.3 State, budget, and feasible actions

To connect these questions to (3), a candidate state is

$$s_{hr} = (\mathcal{X}_{hr}, D_{hr}, \mathcal{L}_{hr}, y_{hr}, m_{hr}, \ell_{hr}, M_r), \tag{5}$$

where $\mathcal{X}$ records the fleet and its relevant attributes, D liquid funds, $\mathcal{L}$ outstanding obligations and their remaining payment schedules, y current income, and M vehicle prices and financing conditions. Stable preference differences can be represented by a household type; any distribution over such types remains to be specified. A state is sufficient only if, together with the chosen action and consumption, it captures the information needed to model subsequent transitions. Vehicle count and oldest age alone need not satisfy this requirement.

Within decision month r, the household observes the state and choice shocks, selects d and c, meets current outlays, and carries the remaining funds into the next month. With interest credited before the decision, one consistent accounting convention is

$$D_{h,r+1} = (1 + r_r^D)D_{hr} + y_{hr} - c_{hr} - o(\mathcal{X}_{hr}^d, d) - \pi(\mathcal{L}_{hr}, d) - K(s_{hr}, d), \tag{6}$$

where o is current transport operating expenditure, π is the payment due this month after accounting for the action, and K is its initial net cash outlay. The timing of the first new-loan payment must

be part of the contract convention. Current payments and initial outlays must not count the same cash flow twice.

For a purchase priced at P_j under a fixed contract with down-payment share δ_j, an illustrative outlay is $K = \delta_j P_j + \text{fees} - E^{\text{trade}}$. Net trade-in equity E^{trade} equals sale proceeds less debt discharged on that vehicle; it is zero for an addition without a trade-in and may be negative. The new principal and remaining payment schedule enter $\mathcal{L}_{h,r+1}$, while a discharged loan leaves that state. A cash purchase corresponds to $\delta_j = 1$ and no new principal. Treatment of negative equity, fees, and borrowing limits must be made explicit for the contracts actually modeled.

For the initial formulation, financing terms are externally specified by vehicle or price tier, as in the existing working draft. They affect feasibility but are not selected through a lender-choice model. Forecasts under a single standard-contract schedule are conditional on that scenario; representing the population requires evidence about the cash and credit options households actually face.

A simple starting feasible set imposes $c_{hr} \geq c_{\min} > 0$, $D_{h,r+1} \geq 0$, and the applicable contract restrictions. The consumption floor and nonnegative-balance condition are proposed assumptions, not empirically established limits for every household. The initial model must restrict attention to states and transitions admitting at least one feasible action; otherwise an explicit borrowing, payment-distress, or other fallback action is required. Consumption is optimized within the remaining feasible set in (3). Fleet aging, income changes, household transitions, prices, and debt amortization then determine

$$s_{h,r+1} = G(s_{hr}, d_{hr}, c_{hr}, \omega_{h,r+1}), \tag{7}$$

with a transition law for innovations ω to be specified. Future covariates must be integrated over that law when forecasting from t.

3.4 From utility to monthly and horizon probabilities

A tractable starting assumption is that the additive shocks are independent type-I extreme value with unit scale, conditional on the modeled state and household type. Under this assumption,

$$\bar{V}_h(s) = \log \sum_{d \in \mathcal{D}(s)} \exp v_h(s,d) + \text{constant}, \tag{8}$$

$$P_h(d \mid s) = \frac{\exp v_h(s,d)}{\sum_{b \in \mathcal{D}(s)} \exp v_h(s,b)}. \tag{9}$$

The shock scale fixes the utility scale; a reference utility normalization is also needed for estimation. These assumptions impose substitution restrictions and would need comparison with alternatives if the data justify them (Train, 2009). Let $\mathcal{D}_P(s)$ collect addition and replacement purchases. The monthly purchase probability is

$$p_h^P(s) = \sum_{d \in \mathcal{D}_P(s)} P_h(d \mid s). \tag{10}$$

For exactly two feasible actions, buy and keep, this reduces to the logistic probability $\Lambda\{v_h(s,\text{buy}) - v_h(s,\text{keep})\}$. Multiple vehicle alternatives require the sum in (10); they cannot be replaced by an unspecified representative car without an additional aggregation assumption.

The horizon calculation must allow nonpurchase actions to change the state. Let $q_m(s)$ be the probability of no purchase over the next m decisions starting in pre-decision state s, with $q_0(s) = 1$. Under the candidate model,

$$q_m(s) = \sum_{d \in \mathcal{D}(s) \setminus \mathcal{D}_P(s)} P_h(d \mid s)\, \mathbb{E}\left[q_{m-1}(s') \mid s, d, c_h^*(s,d)\right]. \tag{11}$$

Here $c_h^*(s,d)$ is the optimal conditional consumption from (3); dependence of q_m on household type is suppressed. The end-of-month forecast is then

$$F_h(t,H) = 1 - \mathbb{E}[q_H(s_{h,t+1}) \mid \mathcal{I}_{ht}]\,. \tag{12}$$

This expectation includes uncertainty about the next pre-decision state and, where relevant, unobserved household type. Disposal remains a nonpurchase transition, so disposal followed by purchase is included. The model yields coherent horizons with $F_h(t,12) \geq F_h(t,6)$.

Equivalently, define the forecast-origin hazard

$$\lambda_h^P(r;t) = \mathbb{P}(T_h^P = t+r \mid T_h^P > t+r-1, \mathcal{I}_{ht}).$$

Then $F_h(t,H) = 1 - \prod_{r=1}^{H}\{1 - \lambda_h^P(r;t)\}$. These hazards already average over future histories conditional on remaining purchase-free. Substituting realized future income or life events into that product would change the information set and would not produce a forecast available at t.

3.5 What must be established before estimation

The formulation specifies how a candidate model could produce the target. It does not yet show that its preference parameters, transition law, or latent components can be recovered from available observations. Normalizations, observed choice sets, variation in vehicle and financing terms, and the initial distribution of states all affect identification. For an initial implementation, the discount factor would be fixed and varied in sensitivity analysis; estimating it requires additional justified restrictions (Magnac and Thesmar, 2002). Scheduled loan payoff, lease expiration, repair spending, and income changes are not automatically exclusions affecting only one layer.

If vehicle condition or another relevant state is unobserved, a state-space extension would require both a transition equation and a measurement equation linking that state to observed signals. Filtering would then condition on information available by the forecast date. Naming a latent state "Need" does not validate that interpretation, and repeated observations alone do not separate stable household preferences from changing conditions. State-space methods provide tools for this extension, not evidence that it is required or identified here (Durbin and Koopman, 2012).

The immediate empirical requirements are a verified household definition, purchase and nonpurchase histories, fleet information, financial resources, and the terms of feasible alternatives. Evaluation should use later periods and account for repeated household observations, incomplete follow-up, missing transactions, and changes in market conditions. Calibration, Brier scores, and log loss at the stated horizons should accompany comparisons with a simpler event-history baseline. Simulation can assess recovery under a specified data-generating process; it cannot establish that the process describes real households. Any benefit from customer contact or a loan offer requires a separate intervention design.

For review, the unresolved decisions are the exact purchase endpoint, the available household and fleet linkage, the financing scenario, and whether the first empirical objective is prediction or an identified counterfactual. These decisions determine how much of the candidate structure can be defended. The literature that follows supplies precedents for its components and makes the remaining evidence gaps explicit.

3.6 How the questions are nested

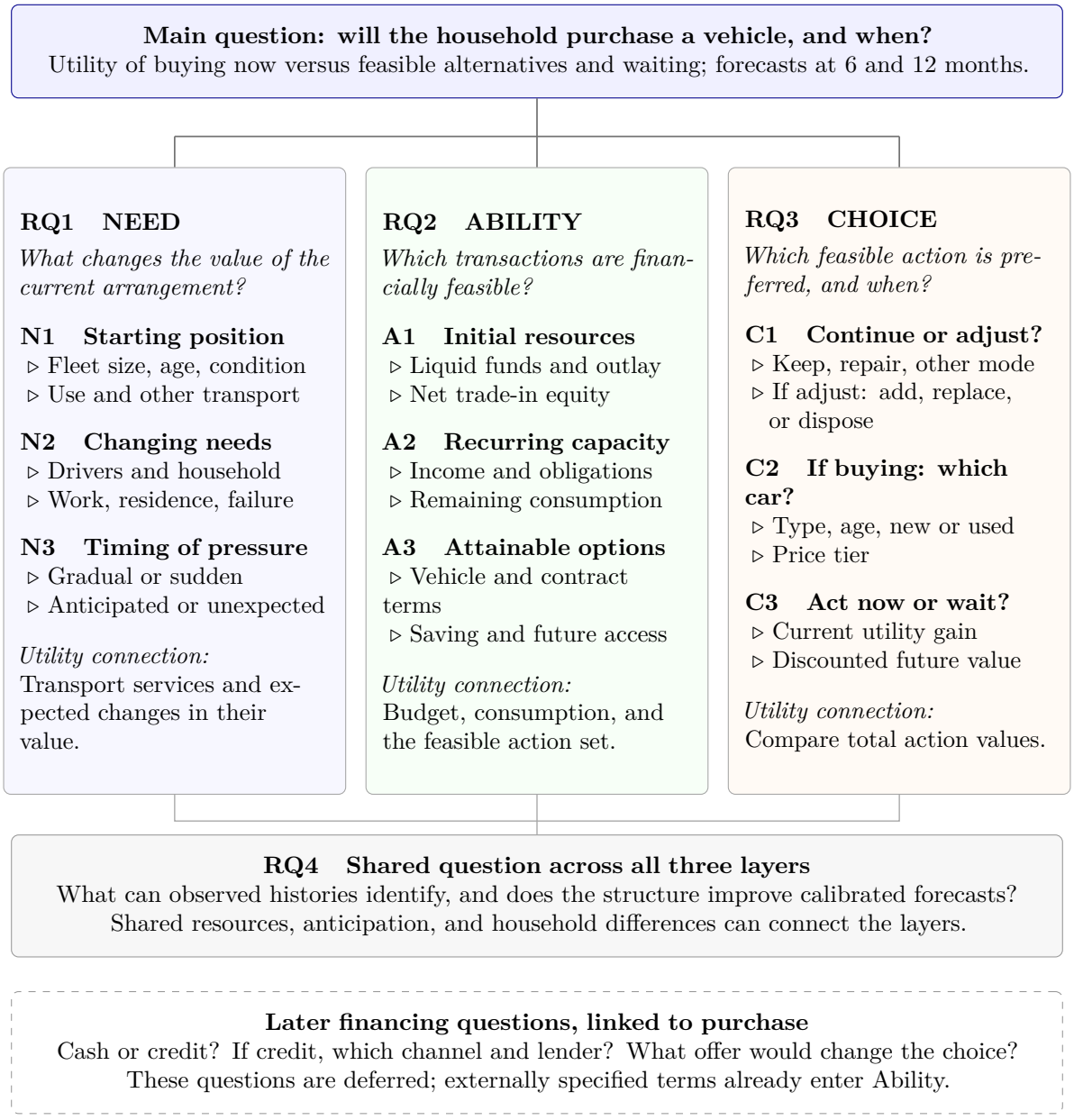


Figure 1: Hierarchy of research questions within Need, Ability, and Choice. The branches show analytical nesting, not a causal sequence, independent gates, or an imposed nested-logit structure. Buying without an identifiable need shock remains possible.

4 Selected Papers: Equations, Assumptions, Strengths, and Limitations

Selection. A paper is included if it supplies an equation or identification result that the purchase-probability model in Section 3 uses directly: the monthly choice probability (C1), identification and estimation (C2), a latent state with transition and measurement equations (C3), liquidity in the purchase decision (C4), or initial conditions and a hazard baseline (C5). Creditworthiness, financing choice, and household risk attitude are out of scope for this stage.

How to read each entry. Each paper is a walkthrough of its math: the setup (what is a given state, what is chosen, and who observes what), the derivation step by step in the paper's own notation and equation numbers with the assumption each step uses, the results that matter for us, the assumptions the authors state and those we think the argument also relies on, what we would keep or change, and questions for discussion. Mappings to our notation refer to Section 3. Three papers are pending full-text review and are marked **TODO:** pending.

4.1 C1. Dynamic choice of when to buy

Rust (1987), bus engine replacement. *Why we would use it:* it is the engine of the model, a monthly keep-or-replace decision whose choice probability is a logit in current utility plus discounted future value.

Setup. One decision maker (the maintenance manager) and 104 buses, monthly, December 1974 to May 1985 (p. 1001). *Given state:* accumulated mileage since the last replacement, x_t, observed by both agent and researcher; cost shocks $\epsilon_t = (\epsilon_t(0), \epsilon_t(1))$, observed only by the agent. *Action:* $i_t \in C(x_t) = \{0, 1\}$, keep or replace. *Objective:* minimize expected discounted cost.

Math walkthrough.

1. **Flow utility** (5.1), p. 1015:

$$u(x_t, i, \theta_1) + \epsilon_t(i) = \begin{cases} -RC - c(0, \theta_1) + \epsilon_t(1) & i = 1, \\ -c(x_t, \theta_1) + \epsilon_t(0) & i = 0. \end{cases}$$

   Assumptions used: shocks enter additively; operating cost c depends only on mileage; normalization $c(0, \theta_1) = 0$, because adding a constant to utility does not change choices (p. 1015).

2. **Transition** (5.2), p. 1015: $p(x_{t+1} \mid x_t, i, \theta_3) = g(x_{t+1} - x_t, \theta_3)$ if $i = 0$ and $g(x_{t+1} - 0, \theta_3)$ if $i = 1$. Replacement resets mileage, so the process "regenerates." *Assumptions used:* first-order Markov mileage; increments independent of the shocks; discretized into 90 cells of 5,000 miles.

3. **Dynamic program** (4.1)–(4.4), pp. 1010: $V_\theta(x_t, \epsilon_t) = \max_i [u(x_t, i, \theta_1) + \epsilon_t(i) + \beta EV_\theta(x_t, \epsilon_t, i)]$, with a stationary optimal policy $i_t = f(x_t, \epsilon_t, \theta)$ (4.3). *Assumptions used:* infinite horizon, stationarity, discounting with $\beta < 1$, and regularity conditions in Rust's companion paper.

4. **Conditional independence (CI)** (4.7), p. 1011: $p(x_{t+1}, \epsilon_{t+1} \mid x_t, \epsilon_t, i) = q(\epsilon_{t+1} \mid x_{t+1})\, p(x_{t+1} \mid x_t, i)$. *Consequence:* EV_θ depends on (x, i) only, not on ϵ. *Assumption used:* next period's shock depends on the past only through x_{t+1}, and x_{t+1} does not depend on ϵ_t. Rust calls this "a strong assumption" (p. 1011). This is the step that makes the model computable.

5. **Choice probability** (Theorem 1, (4.8)–(4.10), p. 1011): $P(i \mid x, \theta)$ is the derivative of the expected maximum ("social surplus") G with respect to $u(x, i)$, and EV_θ is the unique fixed point of a contraction. *Assumption used:* CI plus a known shock density q.

6. **Extreme-value case** (4.11)–(4.14), p. 1012. With i.i.d. type-I extreme-value shocks, $G = \log \sum_j \exp[u(x,j) + \beta EV(x,j)]$ and

$$P(i \mid x, \theta) = \frac{\exp\{u(x,i,\theta_1) + \beta EV_\theta(x,i)\}}{\sum_j \exp\{u(x,j,\theta_1) + \beta EV_\theta(x,j)\}},$$

$$EV_\theta(x,i) = \int_y \log\Big\{ \sum_{j \in C(y)} \exp[u(y,j,\theta_1) + \beta EV_\theta(y,j)] \Big\} p(dy \mid x, i, \theta_3).$$

Assumptions used: EV1 distribution, independent across alternatives and time; mean and variance normalized (pp. 1015–1016). *Check:* if $p(\cdot \mid x, i)$ does not depend on i, then $EV(x,0) = EV(x,1)$ cancels and the static logit results (p. 1012). *Note:* as printed, the location in (4.11) is $+\gamma$, which conflicts with the mean-zero normalization on p. 1015; it changes only the level of EV, not P.

7. **Likelihood** (Theorem 2, (4.15), p. 1013):

$$\ell(x_1, \ldots, x_T, i_1, \ldots, i_T \mid x_0, i_0, \theta) = \prod_{t=1}^{T} P(i_t \mid x_t, \theta)\, p(x_t \mid x_{t-1}, i_{t-1}, \theta_3).$$

Past choices affect current choices only through x_t ("structural state dependence," p. 1013). *Assumptions used:* CI; buses independent of one another (fn. 11); the initial state (x_0, i_0) is taken as given.

8. **Estimation** (pp. 1016–1019): stage 1 estimates θ_3 from the transition factor alone; stage 2 estimates (θ_1, RC) from the choice factor, solving the fixed point (4.14) at every trial parameter (nested fixed point); stage 3 runs full maximum likelihood for efficient standard errors.

9. **Identification** (p. 1023, fn. 12; Table VIII, p. 1020). The cost level and the shock location and scale are normalized. β is collinear with RC (both delay replacement), so it is fixed at .9999 or 0. With a nonparametric cost function the log-likelihood is identical at both values (-110.832 for groups 1–3), so β is not identified without restricting u.

Results to note. $\beta = .9999$ fits better than $\beta = 0$ in the pooled sample (LR 12.782, $p = .0035$) and in groups 1–3 ($p = .029$), not significantly in group 4 ($p = .053$) (Table IX). Conditional independence is rejected for groups 1–3 ($p = .0043$) but not group 4 (Table XI).

Assumptions: stated and implicit.

- *Stated by the author:* additive i.i.d. EV1 shocks; CI; Markov mileage; infinite-horizon stationary problem; β fixed; independence across buses.
- *Implicit, in our reading:* no persistent unobserved differences within a bus group (the CI rejection suggests otherwise); the agent knows the transition law; replacement is always affordable (no budget constraint); one asset per decision; behavior stable over ten years.

What we keep and what we change. Keep steps 1–7 with the household in place of the manager: $x_t \to$ fleet state $\mathcal{X}_{hr}$, $RC \to$ net outlay $K(s,d)$, $P(1 \mid x) \to$ the monthly purchase probability (10); our eqs. (8)–(9) are step 6. Change step 4: household data will have persistent heterogeneity, so CI must be relaxed with unobserved types, which then requires an initial-condition term in step 7 (Heckman, below). Add a budget constraint (Gavazza–Lanteri, below).

Questions for the walkthrough.

- Which step fails first when a household has a persistent preference we do not observe, and what replaces it?
- What would identify β in bank data, or do we fix it and report sensitivity?
- Is a monthly decision period right for vehicle purchase, given that Rust's is monthly but the car papers are annual?

Schiraldi (2011), automobile replacement with transaction costs. *Why we would use it:* it is the car-specific version of Rust's keep-or-replace engine, with a resale market, a per-purchase transaction cost τ_{jt}, and a purchase probability that collapses the vehicle menu into one dynamic inclusive value.

Setup. Aggregate registration shares for the Province of Isernia, Italy, 1994–2004, by product (age, engine size, fuel, manufacturer group; 2,178 product-years, p. 268). Annual periods, $\beta = 0.9$ fixed (p. 276). No household choices are observed: "consumer i" is a simulated type, 80 Halton draws of income y_i and age taste υ_i (p. 279). *Given state:* held car $k \in J_{t-1} \cup \{0\}$ and market information Ω_{it} (attributes, prices, availability), seen by consumer and researcher; ξ_{jt}, τ_{jt}, and shocks ϵ_{ijt}, seen by the consumer only. *Actions:* keep k, sell and buy $j \in J_t$ (new or used), or sell and hold no car ($j = 0$, $p_{0t} = 0$). At most one car per consumer (p. 272).

Math walkthrough.

1. **Flow utilities** (1)–(3), pp. 272–273: keep $\tilde{u}^k_{it} = x_{kt}\alpha^x_i + \xi_{kt} + \epsilon_{ikt}$; buy $u^{kj}_{it} = x_{jt}\alpha^x_i + \xi_{jt} - \alpha^p_i p_{jt} - \tau_{jt} + \alpha^p_i p_{kt} + \epsilon_{ijt}$; exit $u^{k0}_{it} = \alpha^p_i p_{kt} + \epsilon_{i0t}$. Heterogeneity: $\alpha^p_i = \alpha^p / y_i$, $\alpha^{age}_i = \alpha^{age} + \upsilon_i \sigma_{\alpha^{age}}$ (pp. 276–277). *Assumptions used:* only the buyer pays τ; the seller receives p_{kt} in full; full information, no adverse selection (p. 272).
2. **Bellman equation** (4), p. 273: $\hat{V}_i(k, \epsilon_{it}, \Omega_{it})$ is the maximum of the keep branch, the best buy branch $\max_j u^{kj}_{it} + \beta \mathbb{E}[\hat{V}_i(j, \cdot) \mid \Omega_{it}, \epsilon_{it}]$, and $1[k \neq 0]$ times the exit branch. Its state is too large to solve (p. 273).
3. **Price shift and rental price** (5)–(6), pp. 273–274. Set $V_i(k, \cdot) \equiv \hat{V}_i(k, \cdot) - \alpha^p_i p_{kt}$ and

$$\phi_{ijt} \equiv x_{jt}\alpha^x_i + \xi_{jt} - \alpha^p_i \big(p_{jt} - \beta \mathbb{E}_t[p_{jt+1}]\big), \qquad \phi_{i0t} = 0.$$

   The bracket is a one-year rental price. The shift cancels the resale term in (2)–(3); in our rewriting, the branches of (5) become exit $\epsilon_{i0t} + \beta \mathbb{E}[V_i(0)]$, buy $\phi_{ijt} - \tau_{jt} + \epsilon_{ijt} + \beta \mathbb{E}[V_i(j)]$, keep $1[k \neq 0](\phi_{ikt} + \epsilon_{ikt} + \beta \mathbb{E}[V_i(k)])$. *Assumptions used:* no selling cost; prices are in Ω_{it}.
4. **Inclusive value** (7), p. 275, with $EV_i(j, \Omega_{it}) = \int V_i(j, \epsilon_{it}, \Omega_{it})\, dP_\epsilon$ (p. 274):

$$\delta_{it} = \ln\Big(\textstyle\sum_{j \in J_t} \exp\big(\phi_{ijt} - \tau_{jt} + \beta \mathbb{E}[EV_i(j, \Omega_{it+1}) \mid \Omega_{it}]\big)\Big).$$

   Assumptions used: i.i.d. type-I extreme-value shocks and Rust's conditional independence (pp. 273–274). Unlike static versions, δ_{it} contains future decisions (p. 275).
5. **State reduction** (Assumption 1, (8)–(9), p. 275): $G_i(\phi_{ikt+1}, \delta_{it+1} \mid \Omega_{it}) = G_i(\phi_{ikt+1}, \delta_{it+1} \mid \phi_{ikt}, \delta_{it})$, estimated as $\delta_{it+1} = \rho_{1i} + \rho_{2i}\delta_{it} + \eta_{it}$ and $\phi_{ijt+1} = \gamma_{1i} + \gamma_{2i}\phi_{ijt} + \gamma_{3i}\delta_{it} + \mu_{it}$, independent normal errors, type-specific parameters. *Assumptions used:* Markov beliefs, called bounded rationality and possibly inconsistent with any supply model (p. 275); policy is not a state (fn. 14).

6. **Integrated Bellman equation** (10), p. 276: $EV_i(\phi_{ikt}, \delta_{it}) = \ln(\exp(\delta_{it}) + 1[k \neq 0]\exp(W^k_{it}) + \exp(W^0_{it}))$, with, in our shorthand, keep value $W^k_{it} = \phi_{ikt} + \beta\mathbb{E}[EV_i(\phi_{ikt+1}, \delta_{it+1}) \mid \phi_{ikt}, \delta_{it}]$ and exit value $W^0_{it} = \beta\mathbb{E}[EV_i(0, \delta_{it+1}) \mid \delta_{it}]$. *Check:* (10) conditions the exit term on $(\phi_{ikt}, \delta_{it})$, (11)–(12) on δ_{it}; these agree because (8) makes δ_{it+1} depend on δ_{it} only.

7. **Choice probabilities** (11)–(12), p. 276, with $D_{it} = \exp(\delta_{it}) + \exp(W^0_{it}) + 1[k \neq 0]\exp(W^k_{it})$:

$$d^{kj}_{it} = \frac{\exp(\phi_{ijt} - \tau_{jt} + \beta\mathbb{E}[EV_i(\phi_{ijt+1}, \delta_{it+1}) \mid \delta_{it}, \phi_{ijt}])}{D_{it}}, \qquad \tilde{d}^{k}_{it} = \frac{\exp(W^k_{it})}{D_{it}}.$$

   Check (ours): $\sum_{j \in J_t} d^{kj}_{it} = \exp(\delta_{it})/D_{it}$; the market enters timing only through δ_{it}.

8. **Aggregation** (13)–(15), p. 276: $s^D_{jt} = \int \sum_k d^{kj}_{it} s_{ikt-1}\, dP_\upsilon$, $\tilde{s}^H_{kt} = \int \tilde{d}^{k}_{it} s_{ikt-1}\, dP_\upsilon$, $s_{ijt} = \tilde{s}^H_{ijt} + s^D_{ijt}$. Holdings s_{ikt} evolve endogenously by type. *Assumptions used:* market size is the adult population; initial holdings come from a static model without transaction costs (pp. 276, 279).

9. **GMM** (Assumption 2, (16), p. 277): the innovation $\varsigma_{jt} = \xi_{jt} - \lambda\xi_{jt-1}$ satisfies $\mathbb{E}[Z_{jt}\varsigma_{jt}] = 0$, and the estimator is $\hat{\theta} = \arg\min_\theta G(\theta)' W^{-1} G(\theta)$, with nonlinear parameters $\theta_1 = \{\alpha^p, \lambda, \sigma_{\alpha^{age}}\}$. Scrappage take-up in 1997–1998 enters as heavily weighted micromoments (fn. 17). *Assumptions used:* instruments orthogonal to the innovation, not to ξ; observed next-year prices replace $\mathbb{E}_t[p_{jt+1}]$ (p. 276).

10. **Two share inversions** (17)–(18), p. 279, matching each used product's holding and purchase shares:

$$\hat{\phi}'_{jt} = \hat{\phi}_{jt} + \psi_1(\ln \check{s}^H_{jt} - \ln \tilde{s}^H_{jt}(\hat{\phi}_{jt}, \tau_{jt}, \theta)),$$
$$(\hat{\phi}_{jt} - \tau_{jt})' = (\hat{\phi}_{jt} - \tau_{jt}) + \psi_2(\ln \check{s}^D_{jt} - \ln s^D_{jt}(\hat{\phi}_{jt}, \tau_{jt}, \theta)),$$

    $\psi_1 = 1 - \beta$, $\psi_2 = (1-\beta)^2$; τ_{jt} follows by difference. Keepers do not pay τ, so holding shares identify $\hat{\phi}_{jt}$ and purchase shares $\hat{\phi}_{jt} - \tau_{jt}$ (pp. 279–280). *Note:* the author calls the argument heuristic (p. 280), with no uniqueness proof (p. 279); new-car τ is not identified (fn. 32).

Results to note. $\alpha_p = -52.37$ (4.64), $\lambda = 0.35$ (0.03) with micromoments; $\alpha_p = -2.04$ (4.52) without transaction costs (Table 4, p. 281). The static price coefficient -9.32 (6.13) is starred as significant at 5% though its t-ratio is about 1.5. Average own-price elasticities: static -3.05, dynamic -4.07 (p. 283); the text says the myopic model "upwardly biases" them, but the static values are smaller in magnitude, so we read it as a bias toward zero. Mean used-car τ, the cost of a hypothetical purchase, falls from about EUR 3200 (1994) to EUR 2000 (2004), without standard errors (p. 284, Fig. 4).

Assumptions: stated and implicit.

- *Stated by the author:* i.i.d. EV1 shocks and conditional independence; one car per consumer; buyer-paid τ; full information; perfectly persistent preferences (pp. 270, 279); Assumptions 1–2; $\beta = 0.9$.
- *Implicit, in our reading:* nothing but τ makes a consumer keep a depreciating car, so unmodeled persistent tastes, liquidity, or selling costs load onto τ; expectations are inconsistent (perfect foresight in ϕ, AR(1) beliefs in EV); no budget constraint; no sensitivity to β reported.

What we keep and what we change. Keep steps 1–7: $k \to \mathcal{X}_{hr}$ in (5); $\tau_{jt} \to$ fees in $K(s,d)$ and $p_{kt} \to E^{\text{trade}}$ in (6); $\delta_{it} \to$ the purchase log-sum inside (8); (11)–(12) $\to$ (9); $\sum_j d^{kj}_{it} \to$ (10); exit

→ a nonpurchase transition in (11). Change step 5: beliefs come from (7). Replace steps 8–10: bank data give household purchase timing, not product shares, so τ and persistent types must be separated in household panels (Arcidiacono and Miller, 2011; Heckman, 1981). Add several vehicles, the budget in (3), and a monthly β.

Questions for the walkthrough.

- An unobserved persistent keep premium: which way does it bias τ in (17)–(18), and what separates them?
- Does Assumption 1 survive once income, debt, and contract terms enter the state?
- Do we fix β and report sensitivity, since the recovered τ moves with β?

Gavazza and Lanteri (2021), credit shocks and car replacement. *Why we would use it:* it is the only car model in our set with liquid wealth, persistent income risk, and a borrowing limit inside the keep, trade, or scrap decision, so it supplies the budget and feasibility structure Rust-type models lack.

Setup. A continuum of households, annual, one indivisible car each (Sec. 4). *Given state:* bonds b, income w, car status $n \in \{1, \dots, N+1\}$ ($N+1$ is no car), and a permanent type θ, all observed by household and researcher; income and depreciation shocks realize before decisions. *Actions:* consumption c, bonds b', car to hold $\tilde{n}$ (keep if $\tilde{n} = n$, else trade or scrap). *Prices:* p_1, p_N fixed; used prices and p_b clear markets. No choice shocks anywhere.

Math walkthrough.

1. **Preferences** (1): $\mathbb{E}_0 \sum_{t=0}^{\infty} \beta^t u(c_{it}, d_{it})$, $\beta \in (0,1)$, with the CRRA–Cobb–Douglas form (Sec. 5, following Berger and Vavra 2015)

$$u(c,d) = \frac{(c^\alpha d^{1-\alpha})^{1-\gamma}}{1-\gamma}, \qquad \alpha = 0.95,\ \gamma = 2.$$

   Assumptions used: expected utility, time separability, Cobb–Douglas aggregation. *Note:* $\gamma = 2$ comes from the Aiyagari range, not car data. Risk attitude is out of our scope, but the mechanism runs through precautionary saving, so we must take a position on γ rather than inherit 2.

2. **Car services and depreciation** (2): $d(n, \theta_i) = q_n$ for an owner, θ_i for a non-owner. Qualities $q_1 > \cdots > q_N$, new cars q_1; q_n becomes q_{n+1} with probability π_n; q_N is scrapped. Calibration: $N = 4$, $(\pi_1, \pi_2, \pi_3) = (1/3, 0.1, 0.5)$, $(q_1, q_2, q_3) = (1, 0.3, 0.1)$, $\theta \in \{0, 1\}$ with $\mathbb{P}(\theta = 1) = 0.1$. *Assumptions used:* Markov depreciation on four rungs; no horizontal differentiation.

3. **Transaction cost and income.** A seller pays $\lambda(p_n) = \lambda_0 + \lambda_1 p_n$, $\lambda_0 = 0.03$, $\lambda_1 = 0.15$ (affine; no time or search cost). Income: $\log w_{i,t+1} = \rho \log w_{i,t} + \epsilon_{i,t+1}$, $\epsilon \sim N(-0.5\sigma_w^2, \sigma_\epsilon^2)$, $\rho = 0.9$, $\sigma_\epsilon = 0.2$, on a 3-state Rouwenhorst chain. *Check:* the paper states $\sigma_w = \sigma_\epsilon / \sqrt{1-\rho^2} = 0.63$, but $0.2/\sqrt{0.19} = 0.459$; 0.63 is $0.2/\sqrt{1-\rho}$.

4. **Borrowing limit** (3): $b_{i,t+1} \geq \phi$, $\phi \leq 0$, on a one-period non-contingent bond priced p_b, real rate $r = 1/p_b - 1$; calibration $\phi = -1$ (borrowing up to mean annual income). Taxes satisfy $b_G(1 - p_b) = \tau$ (4). *Assumptions used:* one limit common to all households; no default, no amortizing loan contract.

5. **Bellman and budget** (5)–(6):

$$V(b, w, n; \theta) = \max_{c, b', \tilde{n}} u(c, d(\tilde{n}, \theta)) + \beta \mathbb{E}[V(b', w', n'; \theta) \mid \tilde{n}, w],$$
$$c + p_{\tilde{n}} + p_b b' + \tau = w + p_n - \lambda(p_n)\, \mathcal{I}(\tilde{n} \neq n) + b.$$

Check: if $\tilde{n} = n$, $p_{\tilde{n}}$ and p_n cancel, so keeping costs nothing. Written out (our reconstruction), $\mathbb{E}[V \mid \tilde{n}, w] = \sum_{w'} F_w(w, w')[(1-\pi_{\tilde{n}})V(b', w', \tilde{n}; \theta) + \pi_{\tilde{n}} V(b', w', \tilde{n}+1; \theta)]$ for $\tilde{n} \leq N-1$. Splitting (5) gives car-specific values $v_{\tilde{n}}$ and $V = \max_{\tilde{n}} v_{\tilde{n}}$. *Assumptions used:* $\tilde{n}$, b' chosen jointly after shocks; n' depends only on $\tilde{n}$, w' only on w.

6. **Feasibility bound** (our reconstruction from (3) and (6)): a trade to $\tilde{n}$ is feasible only if $c > 0$ at $b' = \phi$,

$$b > p_{\tilde{n}} - [p_n - \lambda(p_n)] + p_b \phi + \tau - w.$$

The bracket is trade-in equity; tightening ϕ raises the bound by p_b per unit, as does a lower used price p_n for trade-in owners. *Note:* necessary only; with $\gamma = 2$, $u \to -\infty$ as $c \to 0$, so optimal thresholds lie strictly above it.

7. **Threshold policy** (Fig. 6): the car policy $g_n(b, w, n; \theta)$ is deterministic and switches at wealth thresholds in (w, b). Read from the plot, the $q_2 \to q_1$ threshold falls from about 12 at $w = 0.5$ to about 5 at $w = 1.5$; the q_3 threshold sits at or just above $\phi = -1$. Rich households replace q_2 with q_1, mid-wealth ones scrap q_3 for q_2, indebted low-income ones keep q_3 until they deleverage. *Key gap:* with no taste shocks, $\mathbb{P}(\text{trade} \mid b, w, n, \theta) \in \{0, 1\}$, identical households act identically, and there is no likelihood. We must add EV1 shocks to each $v_{\tilde{n}}$, turning the threshold into a logit as in (9).

8. **Collateral variant** (11), Sec. 6.5: $b_{i,t+1} \geq \phi_t(\chi_0 + \chi_1 \mathbb{E}_t[p_{n_{i,t+1}} \mid \tilde{n}_{it}])$, with $\chi_1 = 0.85$, $\chi_0 = 0.8$. Borrowing capacity rises with the chosen car's expected resale value; no lender pricing or loan-to-value contract.

9. **Market clearing** (7)–(9): bonds, $\int g_b \, dm = b_G$; new cars, $\int \mathcal{I}(g_n = 1) \, dm = \int dm(b, w, n = 1; \theta) + x$ (sets output x); used $\bar{n} = 2, \ldots, N-1$, $\int \mathcal{I}(g_n = \bar{n}) \, dm \leq \int dm(b, w, \bar{n}; \theta)$, strict only with scrapping, then $p_{\bar{n}} = p_N$. Calibrated, $p_3 = p_N$, so only p_2, p_b are endogenous.

10. **Calibration** (Table 1): nothing is estimated statistically. Literature: $\gamma, \rho, \sigma_\epsilon$. One target each: α to a 5% vehicle expenditure share; β to a 2.5% real rate; ϕ to 10% constrained households; b_G to liquid assets/GDP of 1.78 ($b_G = 1.5$ does not visibly map to it); π_n to a 15-year lifetime and 10% scrappage at 15; q_2, q_3 to 3-year depreciation; $p_1 = 0.45$ to price/income; $p_N = 0.036$ to residual value; $\mathbb{P}(\theta = 1)$ to the no-car share; λ_0, λ_1 to NADA retail minus trade-in spreads. Targets interact (e.g. π_n, q_n).

Results to note. Tightening ϕ from -1 to -0.4 over three years lowers the real rate to 1.9% and cuts new-car sales and scrappage by about 7 and used prices by about 10 percentage points (Fig. 8). Constrained owners postpone scrapping, p_2 falls, and the upgrade cost $p_1 - [p_2 - \lambda(p_2)]$ rises for unconstrained ones, who also delay (Sec. 6.2); without used-market clearing, new sales rise (Fig. 10). The collateral variant nearly doubles the drop (Fig. 16).

Assumptions: stated and implicit.

- *Stated by the authors:* steps 1–5 and 10; fixed p_1 (relaxed in Sec. 6.4); competitive used markets; annual period.

- *Implicit, in our reading:* no choice shocks (never discussed); no default or loan schedule; ϕ stands in for credit supply, not a lender's decision; the no-car margin is set by type, not liquidity ($\theta = 0$ gives $u = -\infty$ without a car, $\theta = 1$ gets $d = q_1$ free).

What we keep and what we change. Keep state and budget: $b \to D_{hr}$ (b may be negative; our $D \geq 0$, loans in $\mathcal{L}$), $w \to y_{hr}$, $n \to \mathcal{X}_{hr}$ reduced to one car, $\theta \to$ household type, $(p_b, p_2, p_1, p_N, \phi) \to M_r$ in (5). In (6), $K(s,d) \to [p_{\tilde{n}} - (p_n - \lambda(p_n))]\mathcal{I}(\tilde{n} \neq n)$, a cash purchase with $E^{\text{trade}} = p_n - \lambda(p_n)$, and $o, \pi \to 0$. Keep the limit as feasibility (step 7), relaxed by resale value via (11). Change: add EV1 shocks (step 8), a monthly period, a loan schedule in $\mathcal{L}$, and estimation on household data. Fix one interest convention: (6) implies $b' = (1+r)[b + w - c - \tau - K]$, interest on closing savings; (6) credits the opening balance. Take prices as given (drop step 10).

Questions for the walkthrough.

- With EV1 shocks, does an option failing step 7 leave the choice set or just get low utility?
- Which γ do we adopt, and with what sensitivity range?
- Can bank data observe ϕ per customer, or must it stay a calibrated common limit?

de Lapparent and Cernicchiaro (2012) TODO: pending full text. Household-panel keep/replace and mileage model for French one-car households, 2000–2007, with income as a stochastic state (from the abstract). To verify: period length, shock distribution, treatment of β, and how income enters the state.

4.2 C2. Identification and estimation

Magnac and Thesmar (2002), identification of dynamic discrete choice. *Why we would use it:* it states exactly which primitives choice and transition data cannot recover, so it tells us what we must fix before the utilities in (3) mean anything, and when β can be estimated.

Setup. A theory paper: no data, simulation, or application. Two periods (a short panel), alternatives $i \in I = \{1, \ldots, K\}$, with K the reference alternative. *Given state:* x (includes time, fn. 2, p. 802), observed by agent and researcher, with discrete finite supports X, X' (DS, p. 804); shocks $\tilde{\varepsilon} = (\varepsilon_1, \ldots, \varepsilon_K)$, observed only by the agent. *Action:* $d = i$. *Data:* $\mathbb{P}(d', x', d \mid x) = \mathbb{P}(d' \mid x')\mathbb{P}(x' \mid x, d)\mathbb{P}(d \mid x)$ (p. 805). The paper calls β the "discount rate"; it is the discount factor.

Math walkthrough.

1. **Bellman equations in deterministic parts** (1)–(2), p. 804. From $v_i(x, \tilde{\varepsilon}) = u_i(x) + \varepsilon_i + \beta\mathbb{E}(\max_j v_j(x', \tilde{\varepsilon}') \mid x, d = i)$, CI removes $\tilde{\varepsilon}$ from the continuation term, so $v_i = v_i^*(x) + \varepsilon_i$ and

$$v_i^*(x) = u_i^*(x) + \beta\mathbb{E}\Big(\max_j (v_j^*(x') + \varepsilon_j') \mid x, d = i\Big).$$

   Assumptions used: AS (pp. 802–803), $u_i = u_i^*(x) + \varepsilon_i$, $\mathbb{E}(\varepsilon_i \mid x) = 0$, G absolutely continuous, utilities otherwise unrestricted; PE (p. 803), beliefs equal true transitions, "quite a strong assumption"; CI (p. 803), $\tilde{\varepsilon}'$ independent of $\tilde{\varepsilon}$ given (x, d), which rules out unobserved heterogeneity (p. 804). Under PE transitions come from data, so the structure is $b = \{u_1^*(X), \ldots, u_K^*(X), v_1^*(X'), \ldots, v_K^*(X'), G, \beta\}$, with choice probabilities (3), p. 805.

2. **Hotz–Miller inversion** (4), p. 806: given G, $v_i^*(\tilde{x}) = v_K^*(\tilde{x}) + q_i(\tilde{p}(\tilde{x}); G)$, $q_K = 0$; in period 2, (5): $(v_1^*, \ldots, v_{K-1}^*)(X') = \varphi(\tilde{p}(X'); v_K^*(X'))$. *Assumption used:* G known (Hotz and Miller, 1993). Choice probabilities give value *differences*, never the level v_K^*.

3. **The function** R, p. 806: $R(z;G) = \mathbb{E}_G \max_i(z_i + \varepsilon_i - \varepsilon_K)$. Adding and subtracting v_K inside the max (Appendix A, pp. 813–814) gives $\mathbb{E}_G(\max_j v_j(x', \tilde{\varepsilon}') \mid x') = v_K^*(x') + R(q(\tilde{p}(x')); G)$. *Assumptions used:* $\mathbb{E}(\varepsilon_K \mid x') = 0$ (AS(i)) and (4) at x'. The continuation value is observed CCPs plus one unknown level.

4. **Lemma 1** (6), p. 806. Substitute step 3 into (2), subtract the Kth equation (Appendix (14)–(15)), and eliminate $v_K^*(x)$. For $i < K$,

$$u_i^*(x) = u_K^*(x) - \beta\big[\mathbb{E}(v_K^*(x') \mid x, d = i) - \mathbb{E}(v_K^*(x') \mid x, d = K)\big] \\ + q_i(\tilde{p}(x); G) - \beta\big[\mathbb{E}(R(q(\tilde{p}(x')); G) \mid x, d = i) - \mathbb{E}(R(q(\tilde{p}(x')); G) \mid x, d = K)\big].$$

   Check: as printed in (6) and (8), the parentheses put the last $\mathbb{E}(\cdot \mid x, d = K)$ term outside β. Appendix (14)–(15) and the estimator $Y_i = q_i(\tilde{p}(x)) - \beta R(q(\tilde{p}(x')))$ (p. 808) imply that β multiplies the whole difference, as written here.

5. **Mapping** (7) **and Proposition 2**, pp. 806–807. (6) is a map

$$(u_1^*, \ldots, u_{K-1}^*)(X) = \phi(\tilde{p}(X), \pi; \beta, G, u_K^*(X), v_K^*(X')),$$

   with $\pi = \mathbb{P}(X' \mid X, I)$; the Kth equation only defines $v_K(X)$ and carries no information. With $C = \{c = (\beta, G, u_K^*(X), v_K^*(X'))\}$: (i) for fixed c, exactly one $(u_1^*, \ldots, u_{K-1}^*)(X)$ is compatible with $\tilde{p}(\tilde{X})$; (ii) for all $c, c' \in C \times C$,

$$\{\phi(.;c), \varphi(.;c), c\} \overset{O}{\Leftrightarrow} \{\phi(.;c'), \varphi(.;c'), c'\}.$$

   Consequence: non-identification is exact; every c, including $\beta = 0$ (Manski's static equivalence, p. 807), fits the data equally well. It is larger if G or β depends on x.

6. **Corollary 3 and the moment condition** (8), p. 807. Rearranging (6), for $i < K$,

$$q_i(\tilde{p}(x); G) - \beta\big[\mathbb{E}(R(q(\tilde{p}(x')); G) \mid x, d = i) - \mathbb{E}(R(q(\tilde{p}(x')); G) \mid x, d = K)\big] = U_i(x),$$

$$U_i(x) \equiv \big[u_i^*(x) + \beta\mathbb{E}(v_K^*(x') \mid x, d = i)\big] - \big[u_K^*(x) + \beta\mathbb{E}(v_K^*(x') \mid x, d = K)\big].$$

   Given β and G the left side is data, so $U_i(X)$ is identified with $v_K^*(X')$ unknown. U_i compares "i now, K tomorrow, then optimal" with "K now and tomorrow, then optimal." *Note:* $U_i = u_i^* - u_K^*$ only if $\beta = 0$; otherwise utility differences need $v_K(X')$. The step 4 parenthesis check applies to (8).

7. **Proposition 4**, p. 809. Restriction: $U_i(x_1) = U_i(x_2)$ for some i and $x_1 \neq x_2$. With G fixed, differencing (8) across x_1, x_2 is linear in β. Our reconstruction (the paper states only linearity), with R short for $R(q(\tilde{p}(x')); G)$:

$$\beta = \frac{q_i(\tilde{p}(x_1); G) - q_i(\tilde{p}(x_2); G)}{\Delta},$$

$$\Delta = \big[\mathbb{E}(R \mid x_1, i) - \mathbb{E}(R \mid x_1, K)\big] - \big[\mathbb{E}(R \mid x_2, i) - \mathbb{E}(R \mid x_2, K)\big].$$

   Assumptions used: G fixed; rank condition $\Delta \neq 0$; more restrictions overidentify. Stationarity of U_i over three periods supplies one (p. 809). *Note:* absorbing states and terminal dates are testable but not identifying; the reference alternative must be restricted at every period (Sec. 4.1).

8. **Unobserved types** (Section 5, pp. 810–812). (9) conditions everything on a constant type θ. Restricted case: $K = 2$, alternative 2 absorbing with $u_2^* = v_2^* = 0$, $\theta \in \{0, 1\}$ with share $r(\theta)$ independent of x, and (10): θ affects neither transitions nor G. Lemma 5 (11) writes observed CCPs as mixtures with Bayes weights $p(x, \theta)r(\theta)/s(x)$ in period 2, which is dynamic selection. Proposition 6: given G, β, two whole functions and $r(1)$ are unidentified. Proposition 7: adding $r(1)$, additivity $u_1^*(x, \theta) = u_1^*(x) + \theta$, a terminal condition, and rank conditions just identifies u_1^*; β and $r(1)$ need two more exclusions.

Results to note. The unidentified set is exactly $(\beta, G, u_K^*(X), v_K^*(X'))$. Given β and G, U_i is "the only structural object that can be identified" without value-function levels (p. 813). G is never identified, even with parametric utilities (fn. 7, p. 810). No finite-sample results (p. 813).

Assumptions: stated and implicit.

- *Stated by the authors:* AS; PE; CI (relaxed in Section 5); DS; two periods, extensions asserted, not shown (p. 804); G independent of x (p. 803); Section 5 uses two types, two alternatives, and heterogeneity only in preferences (fn. 8, p. 811).
- *Implicit, in our reading:* the same choice set in every state and no budget constraint; rank conditions hold in the data at hand; in a stationary infinite-horizon model the Kth equation is a fixed point determining v_K^*, so fixing $u_K^*(X)$ may suffice (our reconstruction, not in the paper).

What we keep and what we change. Map $i \to d \in \mathcal{D}(s)$, $K \to$ keep, $x \to s_{hr}$ in (5), $u_i^* + \beta\mathbb{E}(\cdot) \to v_h(s, d)$ in (3), $\tilde{p} \to P_h(d \mid s)$ in (9), $G \to$ the EV1 assumption behind (8), $\theta \to$ household type. Keep steps 2–6 as the list of what we fix: β, G, and the keep utility in *every* state are identifying assumptions, not conventions. Change the habit of setting $u_{\text{keep}}^* = 0$: if keeping costs more as the vehicle ages, that loads the age effect onto the buy utility. *Consequence:* with flexible utilities, these normalizations do not change fitted choice probabilities or transitions, so a forecast of $F_h(t, H)$ in (12) inside the observed environment is unaffected; they do change recovered utilities and therefore counterfactuals (new prices, contract terms, a loan offer).

Questions for the walkthrough.

- Is our first objective the in-environment forecast $F_h(t, H)$, which needs no identified utilities, or a counterfactual, which does?
- Which state variable could satisfy $U_i(x_1) = U_i(x_2)$? A scheduled loan payoff shifts the future but also changes $\mathbb{E}(v_K^*(x') \mid x, d = K)$, so it is not automatically an exclusion.
- With sparse household cells, is Δ far enough from zero to make $\hat{\beta}$ informative, or do we fix β and report sensitivity?

Hotz and Miller (1993), conditional choice probability estimation. *Why we would use it:* it shows that the continuation values in a dynamic logit can be recovered from observed choice probabilities and transitions, so the purchase model can be estimated without solving the dynamic program at every trial parameter.

Setup. A finite-horizon dynamic discrete-choice problem with J actions per period (Sec. 2, pp. 498–500). *Given state:* the history $H_t = (b_0', b_1, \ldots, b_{t-1})'$ of an initial endowment and past outcomes, observed by agent and researcher; shocks $\varepsilon_t = (\varepsilon_{t1}, \ldots, \varepsilon_{tJ})$, observed only by the agent. *Action:*

$d_{tj} \in \{0,1\}$, $\sum_j d_{tj} = 1$. *Objective:* $\mathbb{E}_0 \sum_{t=0}^{T} \sum_j d_{tj}[u_j^*(H_t) + \varepsilon_{tj}]$, with β^t inside u^*. Application: 2,088 couples, 1975 National Fertility Survey, 10,257 couple-years, choosing among no contraception, temporary contraception, and irreversible sterilization (pp. 513–514).

Math walkthrough.

1. **Payoff and valuation** (2.3), (2.6)–(2.8), pp. 499–500: $u_{tj} = u_j^*(H_t) + \varepsilon_{tj}$; $v_j(H_t)$ is expected optimal future utility after choosing j, excluding the current payoff; $p_k(H_t) = \mathbb{P}\{k = \arg\max_j [u_{tj}^* + \varepsilon_{tj} + v_{tj}] \mid H_t\}$. *Assumptions used:* additive shocks, independent of H_t; shock distribution $G(\varepsilon_t \mid H_t)$ known up to parameters, with a density (2.4); finite horizon T.

2. **CCPs as a function of value differences** (3.1)–(3.4), p. 500: $p(H_t) = Q(\nu(H_t), H_t)$, $\nu = (v_{t1} - v_{tJ}, \ldots, v_{t,J-1} - v_{tJ})'$. Only differences enter. *Assumption used:* action J serves as the reference.

3. **Inversion** (Proposition 1, p. 501; proof pp. 522–523): Q is invertible in ν, so $\nu(H_t) = Q^{-1}(p(H_t), H_t)$. The Jacobian is diagonally dominant (A.5)–(A.9). *Assumptions used:* a density with positive cross-partials (full support). For type-I extreme value shocks, $v_{tj} - v_{tJ} = \ln(p_j/p_J) - (u_{tj}^* - u_{tJ}^*)$, the form of (4.11), p. 504.

4. **Selection correction and expected payoff** (3.7)–(3.8), p. 501: $W_j = \mathbb{E}(\varepsilon_{tj} \mid H_t, d_{tj}^o = 1)$ is a function of p_t; for extreme value, $W_j = \gamma - \ln p_j$ (4.12). Then $U(p_t, H_t) = \sum_k p_{tk}[u_{tk}^* + W_k]$.

5. **Valuation in CCPs** (3.12), p. 502:

$$V_j(H_t, p(H_t)) = \sum_{s=t+1}^{T} \sum_{H_s \in \mathcal{A}_s(H_t)} U_s \, F_{tj} \prod_{r=t+1}^{s-1} \Big(\sum_k p_{rk} F_{rk} \Big) = v_j(H_t).$$

   Assumptions used: finite outcomes and horizon; agents' beliefs equal the transitions F_j in the data.

6. **Terminating action** (3.13)–(3.14), p. 502: if J, once chosen, must be chosen forever,

$$V_j(H_t) = \sum_{H_{t+1}} \Big\{ U_{t+1} + V_J(H_{t+1}) + \sum_{k<J} p_{t+1,k} Q_k^{-1}(p_{t+1}, H_{t+1}) \Big\} F_j(H_{t+1} \mid H_t),$$

   so only one-period-ahead CCPs are needed. Sterilization plays this role in the application. *Note:* as printed, (4.8)–(4.9) reverse the sign of $v_1 - v_2$ relative to (4.11); (4.11) is the consistent version.

7. **Estimator** (5.4)–(5.9), pp. 506–507: first stage, cell frequencies (5.7) or kernels (5.12) for CCPs and transitions; second stage, GMM on $\mathbb{E}(z_{nt} \otimes [d_{nt} - P(H_{nt}, \hat{p}, \theta)]) = 0$. *Assumptions used:* no unobserved states (Assumption 4); stationary environment and independence across agents, so no aggregate shocks (Assumptions 5–6, p. 506); all feasible histories sampled (p. 509).

8. **Asymptotics** (Proposition 2, p. 508): $N^{1/2}$-consistent and asymptotically normal; the covariance (5.11) corrects for the first stage. Kernel first stages are asymptotically biased; a combination of estimators with different bandwidths removes the bias ((B.27), p. 527).

Results to note. The reduced form is precise ($\chi^2 = 220$, 33 d.f., Table IV, p. 517), and the first-stage correction to standard errors was negligible (p. 517). All three structural specifications are rejected ($p = 0.0034$ for the least restrictive, p. 522), and β is imprecise: 0.646 (s.e. 0.678) in Model C (Table VI, p. 521). No computing times are reported.

Assumptions: stated and implicit.

- *Stated by the authors:* additive shocks with known distribution; finite horizon and finite outcomes; no unobserved state variables; no aggregate shocks; independence across agents; serially uncorrelated income shocks (fn. 10).
- *Implicit, in our reading:* no persistent unobserved heterogeneity (a type would make the CCPs mix types); cells are populated well enough to estimate $\ln p$ without large error; counterfactuals stay within the observed regime, since regime changes may require solving the model (p. 503).

What we keep and what we change. Keep steps 2–5 and 7: our (9) is step 3 with $v_h(s, d)$ in place of $u^* + v$, and (8) combined with step 4 writes the continuation value in observed probabilities. Our (11) and (12) already need only $P_h(d \mid s)$ and (7), so a predictive forecast could use first-stage estimates directly. Change step 6: no household action is terminating, and a purchase resets vehicle age but adds a loan, so the renewal representation of Arcidiacono and Miller (2011) must be checked for the full state (5). Change step 7: continuous D, y, $\mathcal{L}$ in (5) make cell frequencies infeasible, and household types require the extension of Arcidiacono and Miller (2011).

Questions for the walkthrough.

- Is the first objective prediction, where first-stage CCPs may suffice, or counterfactual financing terms, which need the structural parameters?
- How coarse a state can we accept for first-stage CCPs before smoothing over balances and income distorts $\ln p$?
- Which household action, if any, is close enough to a renewal to keep the continuation values one period ahead?

Arcidiacono and Miller (2011) TODO: pending full text. CCP estimation with discrete unobserved types, and possibly Markov unobserved states, via EM. To verify: whether it handles both time-invariant types and a Markov latent state with an initial-state distribution, and whether vehicle purchase satisfies its finite-dependence condition. Hotz and Miller (1993) use a *terminating* action (sterilization) to simplify the continuation value; whether a purchase that resets the fleet state plays the analogous role is the question this paper should settle. This determines whether conditional independence can be relaxed with a known estimator.

4.3 C3. Latent household state

Li et al. (2011), latent financial states and bank cross-selling. We work from the authors' November 2010 manuscript (third revision), not the published article, so we cite equations, tables, and sections; page numbers are manuscript pages, and "A" marks appendix equations. *Why we would use it:* it is a worked template, in bank data, for a latent time-varying household state with a covariate-dependent transition equation and a state-dependent measurement equation for monthly product openings.

Setup. One bank, 2,000 calibration households, monthly, November 2003 to January 2006 (27 months), seven product categories (Sec. 3). *Given state:* a latent "financial state" $s \in \{1, \ldots, S\}$, occupied by the household but observed by neither the bank nor the researcher; observed covariates (balance changes, accounts, transactions, tenure, income). *Actions:* household openings Y_{ijt}; bank solicitations Z_{ijkt} for product j by channel k (mail, email), observed by the researcher. *Objectives:* the household maximizes current utility only; the bank maximizes discounted profit (Sec. 5). The state is measured only through openings.

Math walkthrough.

1. **Latent utility** (1)–(2). $Y_{ijt} = 1$ if i opens j in month t, with

$$\begin{aligned} U_{ijt}(s) = \beta_{0ij}(s) + \textstyle\sum_k \big(\beta_{1ij}(s) + \beta_{2ik}(s)\big) Z_{ijkt} + \beta_{3i}(s) \sum_k \sum_j \sum_{\tau=1}^{t-1} Z_{ijk\tau} \\ + \beta_{4i}(s)\mu_{\Delta BAL_{i(t-1)}} + \beta_{5i}(s)\sigma_{\Delta BAL_{i(t-1)}} + \beta_{6i}(s) NACCT_{ijt} + \beta_{7i}(s) TRANS_{i(t-1)} \\ + \cdots + \beta_{10i}(s) INCOME_{it} + \varepsilon_{ijt}(s), \end{aligned}$$

   where the omitted terms are $TENURE_{it}$ and $COMP_{it}$. *Assumptions used:* every coefficient is state-specific; lagged balance-change and transaction covariates are exogenous to solicitations (fn. 3); a solicitation shifts current utility and the cumulative stock shifts later utility. *Note:* (2) has no continuation value, so the household is myopic given its state.

2. **Orthant probability** (3)–(4). $\boldsymbol{\varepsilon}_{it}(s) \sim MVN[0, \Sigma]$ across the J products, and $\mathbb{P}(\mathbf{Y}_{it} \mid s) = \int_{M_j} \phi_J(\boldsymbol{\varepsilon}_{it}(s); 0, \Sigma)\, d\boldsymbol{\varepsilon}_{it}(s)$, with $M_j = (-\infty, 0)$ if $Y_{ijt} = 0$ and $(0, \infty)$ otherwise, writing ϕ_J for the printed normal density. *Assumptions used:* $Y_{ijt} = \mathbf{1}\{U_{ijt}(s) > 0\}$; errors independent over time given s; Σ has unit diagonal (App. Sec. 2). *Check:* with $U = \bar{U} + \varepsilon$, $Y_{ijt} = 1$ iff $\varepsilon_{ijt} > -\bar{U}_{ijt}(s)$, so the printed M_j give the sign of U and must be shifted by $-\bar{U}_{ijt}(s)$ to apply to ε. For $J = 1$, (4) is $\Phi(\bar{U}_{i1t}(s))$ or its complement; unconditionally, $\mathbb{P}(\mathbf{Y}_{it}) = \sum_s \mathbb{P}_{it}(s)\mathbb{P}(\mathbf{Y}_{it} \mid s)$.

3. **Transition matrix** (5). M_{it} is $S \times S$ with zero diagonal; P_{itmn} is the probability of a jump from m to n. *Assumptions used:* first-order switching among states common to all households; persistence comes from waiting times. *Note:* a discrete-time version with self-transitions gave "very similar results" (fn. 4), not shown.

4. **Gamma waiting times** (6)–(7). $W_{it}(s) \sim$ Gamma with shape $\lambda_{it}(s)$ and inverse scale $k_i(s)$, so $E[W_{it}(s)] = \lambda_{it}(s)/k_i(s)$. *Check (hazard):* $h(w) = f(w)/\{1 - F(w)\}$. For $\lambda = 1$, $f = ke^{-kw}$ and $1 - F = e^{-kw}$, so $h = k$, with no duration dependence; for $\lambda > 1$ the hazard rises with w, for $\lambda < 1$ it falls, both toward k. A monthly Markov chain with self-transitions forces geometric durations, so duration dependence requires the semi-Markov form (state plus elapsed time).

5. **Covariate-dependent shape** (8)–(9). $\log \lambda_{it}(s) \sim N(\bar{\lambda}_{it}(s), \sigma^2_\lambda)$, with $\bar{\lambda}_{it}(s)$ linear in experience $TACCT_{i(t-1)}$, current solicitations ($\alpha_{2ij}(s)$), the cumulative channel stock and its square, $COMP$, $INCOME$, and closed accounts. *Assumptions used:* only the shape moves; $k_i(s)$ does not. $\alpha_{2ij}(s) < 0$ shortens the stay in s, the "educational" channel the authors call speculative (p. 13). Past purchases enter through $TACCT$, so the state depends on the household's own choices. *Note:* the text resets the stock at entry to the current state; the printed sum starts at $t_s = 1$.

6. **Priors and initial state** (10)–(12). Transition rows and initial probabilities are Dirichlet with log-normal hyperparameters, and $\bar{\eta}_{is} = \omega_{0i} + \omega_{1i} TACCT_{i0} + \omega_{2i} ASSET_{i0}$. *Note:* (12) is a parametric initial-condition equation in start-of-sample holdings; elapsed time in the first spell (left censoring) is not treated.

7. **Hierarchy** (13). $\theta_{im} = \mu_{m0} + \mu_{m1} AGE_i + \mu_{m2} GENDER_i + \mu_{m3} HSIZE_i + e_{im}$, $e_i \sim N[0, \Omega]$, for the stacked utility parameters. The heterogeneity distribution of $\alpha_i(s)$, $k_i(s)$, ω_i is not specified.

8. **Endogenous solicitations** (A1)–(A2). $Z_{ijkt} \mid \gamma_i \sim$ Poisson(γ_i), with $\ln \gamma_i$ linear in state-averaged coefficients on $NACCT$, $TENURE$, $INCOME$ and averaged hierarchy coefficients. *Assumptions used:* the bank knows average response parameters but not the current state, so Z is independent of s and ε given Θ_i. *Check:* the last three terms of (A2) average population

hyperparameters and cannot be separated from φ_0; (A1) treats Z as a count, elsewhere it is binary.

9. **Likelihood** (A3)–(A4). For the realized latent path D_{it},

$$\mathbb{P}(\mathbf{Y},\mathbf{Z}) = \prod_i \prod_s (\pi_i(s))^{\mathbf{1}\{D_{i0}=s\}} \Big\{ \prod_t \mathbb{P}(Y_{it} \mid D_{it}, Z_{it}) \mathbb{P}(Z_{it}) \cdot \Big(\prod_l P_{itsl}^{\mathbf{1}\{D_{it}=s \,\&\, D_{i(t+1)}=l\}} \Big) \prod_k f(W_{itk} \mid D_{it}, \lambda_{it}, \kappa_i) \Big\},$$

where (A4) is a gamma density restricted to the interval between jump times τ_{k+m} and τ_{k+m+1}. *Assumptions used:* complete-data likelihood with MCMC data augmentation. *Note:* samplers, burn-in, and convergence checks are not reported; (A4) writes the rate κ_i, (6) writes $k_i(s)$.

10. **Ordering and number of states** (A5), Table 3A. With mean-centered covariates,

$$\tfrac{1}{J}\textstyle\sum_j \beta_{0ij}(1) \le \tfrac{1}{J}\sum_j \beta_{0ij}(2) \le \cdots \le \tfrac{1}{J}\sum_j \beta_{0ij}(S).$$

This fixes labels, not S or the transition law. Log marginal densities for $S = 1,\ldots,4$ are $-1{,}154{,}047.7$, $-1{,}144{,}416.0$, $-984{,}746.9$, $-1{,}184{,}113.2$, so $S = 3$. *Check:* the sequence is not monotone, and its computation is not described.

11. **Bank dynamic program** (15)–(18). Expected profit (15) weights state-specific purchase probabilities by filtered $\mathbb{P}_{it}(s)$, margins r_{ij}, less channel costs c_k; (16) sums it over the 27 months; (17) adds an extreme-value shock, giving the logit policy (18). *Note:* the DP is solved with estimated customer parameters, not estimated from bank behavior. As printed, $(1+\delta)^{t-\xi_1}$ in (16) compounds rather than discounts, and δ is not reported.

Results to note. $S = 3$ fits best (Table 3A); the full model has the best validation purchase hit rate, 0.268 against 0.101–0.246 (Table 3B). Mean balance change raises utility (1.06 to 1.29) and its dispersion lowers it (-1.45 to -1.92) (Table 4A). Mean waiting times are 9.68, 10.90, 15.07 (Table 4D; units presumably months), so 27 months cover roughly two or three spells, the first left-censored. The simulated dynamic policy raises profit from 22,021.5 to 60,925.5 (Table 6) under the same fitted model.

Assumptions: stated and implicit.

- *Stated by the authors:* S common states; zero-diagonal semi-Markov switching with gamma durations; MVN errors, unit-diagonal Σ; solicitations exogenous given average parameters (A1)–(A2); balances exogenous (fn. 3); ordering (A5); finite-horizon bank problem.

- *Implicit, in our reading:* myopic customers; states identified from rare openings (about 3.1% of observations, p. 19), with persistent heterogeneity (13) and time-varying states competing for the same serial correlation (Heckman, 1981); balances shift utility rather than signal the state; no bank targeting on the current state.

- *Reporting problems:* Table 2 prints a mean balance change (-6.35) outside its range (-0.033 to 3.8), $TACCT$ up to 155 with seven categories, and tenure in years with mean 66.46. Table 4A's waiting-time intercepts (-8.23, -8.53, 13.43) are not consistent log shapes for Table 4D; combining Table 4D with Table 4A's $k_i(s)$ through (7) gives shapes 61.66, 54.94, 16.88 (our computation), nearly deterministic durations.

What we keep and what we change. Keep steps 3–6: Li's s becomes a latent Need component added to (5), driven in (7) by vehicle age, life events, and past purchases, with (12) as our initial-condition equation; $\mathbb{P}(Y_{ijt} \mid s)$ maps to p_h^P in (10) and $\mathbb{P}_{it}(s)$ to the filtered belief in (12). Change step 1: our choice equation is (9), with the continuation value of (3), not a static probit. Change steps 3–5: use the discrete-time version or add elapsed duration to the state, since the semi-Markov state would break the recursion (11). Add a measurement equation for transaction signals and estimate with Arcidiacono and Miller (2011).

Questions for the walkthrough.

- With openings as the only measurement, what separates a latent Need state from a persistent type in 27 months?
- Do balance and transaction variables belong in utility (Ability) or in a signal equation for Need?
- Does bank contact enter our model? If so, what makes it exogenous given the latent state?

4.4 C4. Liquidity and purchase

Adams et al. (2009), liquidity constraints in subprime auto purchases. *Why we would use it:* it is the empirical evidence for the cash-outlay term K in (6): subprime used-car applicants respond strongly to the required down payment and to tax-refund season, and barely to the financed price.

Setup. Unit: a loan application at one large subprime dealer-lender, June 2001 to December 2004 (p. 52); over 50,000 applications, 34 percent purchase (Table 1). *Outcome:* $q_i = 1$ if applicant i buys, given that i applied. *Set by the company:* minimum down payment d_i (by credit category and region) and list price l_i (a markup over cost). *Negotiated:* price p_i. *Chosen by the buyer:* buy or not, and $D \geq d$. Assets and debt are not observed (p. 53).

Math walkthrough.

1. **Purchase probit** (1), p. 59: $q_i = 1 \Leftrightarrow q_i^* = \mathbf{x}_i'\boldsymbol{\alpha} + \varepsilon_i \geq 0$, where $\mathbf{x}_i$ holds offer terms (price, rate, term, minimum down), car and applicant characteristics, and city, credit-category, month and year dummies. *Assumptions used:* ε_i i.i.d. normal; one binary decision on the lot; terms affect neither who applies (they are not posted) nor car choice (p. 60).
2. **Missing prices** (p. 59, fn. 17). *Assumption used:* a nonpurchaser faced the car and price of a random purchaser in the same city, week, credit and income category. *Note:* prices are imputed for about two thirds of the sample, which attenuates the price effect; fn. 17 notes a further bias toward underestimating it.
3. **Minimum-down identification** (p. 60). Given the dummies, the effect comes from company changes over time and differential changes across categories and cities. *Assumption used:* company decisions are uncorrelated with ε_i given controls, since analysts see what headquarters sees. *Implicit, in our reading:* minimums are not timed to demand shifts the month dummies miss (they are about $150 higher in February, p. 57).
4. **Negotiated-price equation** (2), p. 60: $p_i = l_i\lambda_l + \mathbf{x}_i'\boldsymbol{\lambda}_x + \nu_i$, estimated jointly with (1) by maximum likelihood, (ε_i, ν_i) correlated normal. *Assumptions used:* l_i is excluded from (1) given cost controls; it varies through changes in the margin schedule, regions, and discontinuities of the margin formula in cost. Relevance is strong ($t > 100$); exclusion is not testable. Columns 3–4 use cost-bucket and state dummies instead (fn. 18).

5. **Expected payment without a liquidity constraint** (3), p. 61:

$$\mathbb{E}[Payment] = D + (p - D)\,\frac{\sum_{t=1}^{T}(1+s)^{-t}S_t}{\sum_{t=1}^{T}(1+r)^{-t}} = D + (p - D)\phi,$$

with s the buyer's monthly discount rate, S_t the probability of no default before the end of month t, and ϕ the expected present value paid per dollar borrowed; the denominator is the annuity factor (fn. 7). *Assumption used:* an unconstrained buyer at the minimum ranks offers by $\mathbb{E}[Payment]$. *Reconstructed step:* ΔD changes it by $\Delta D(1-\phi)$ and Δp by $\Delta p\,\phi$, so indifference requires $\phi = \Delta D/(\Delta D + \Delta p)$. *Check:* \$100 of down payment worth about \$30 of price at 5 percent (p. 61) implies $\phi \approx 0.77$.

6. **Coefficients as a liquidity test** (p. 63). The ratio of the minimum-down to the price effect is the empirical Δp per \$100 of ΔD: \$2,884, so $\phi \approx 0.034$, which (3) matches only at a 1,415 percent annual discount rate (474 percent with col. 4); at 10, 20 and 50 percent the benchmarks are \$38, \$55, \$108. *Note:* the col. 2 price effect, −0.0010 (0.0011), is not distinguishable from zero, so the ratio is bounded below rather than estimated, and neither \$2,884 nor 1,415 percent has a reported standard error. The rounded coefficients give about \$2,990. S_t and the compounding convention are not reported (fn. 19), so we read 1,415 percent as an order of magnitude.

7. **Cell-level demand** (4), p. 64: $\ln Q_j = \beta_A \ln A_j + \tilde{\mathbf{x}}_j'\boldsymbol{\beta}_x + u_j$, cells = city × week × credit category × income range; OLS (col. 5) and IV with average list price (col. 6). It avoids the imputation of step 2; dividing by three roughly converts to the probit scale (Table 2, note d).

8. **February evidence** (pp. 56–59). Applications are 23 percent higher and the close rate is 40 versus 33 percent, almost 50 percent more sales (p. 50). Across 12 income-by-dependents groups the February increase rises with the group's earned income tax credit (Fig. 2B); trade-in purchases show no seasonality. *Assumption used:* the spike reflects tax refunds. *Note:* a descriptive gradient without standard errors; whether February buyers would otherwise buy later is not observed.

The default, loan-size and adverse-selection analyses, (5)–(9), are outside our current scope.

Results to note (Table 2, col. 2, dF/dx, per \$100 where applicable). Minimum down −0.0299 (0.0006), about 9 percent of the 0.34 purchase rate; price −0.0010 (0.0011); February 0.1594 (0.0047) relative to December. Robustness subsamples give −0.0238 to −0.0304 (p. 65); cell level −0.0895 (0.0039) log points (col. 5). Standard errors use 50 bootstrap replications. *Reconciliation:* the text puts February demand 30 percent higher (p. 59), but 0.1594/0.34 is larger; text and Fig. 2B differ on the top income group (\$3,500 versus \$3,000).

Assumptions: stated and implicit.

- *Stated by the authors:* normal errors; one binary decision; minimums exogenous given dummies; list price a valid instrument; imputed nonpurchaser prices; no effect of terms on applications or car choice.
- *Implicit, in our reading:* purchase is one-shot, not a choice of when to buy; impatience or present bias is set aside by plausibility, not a test; the dealer's applicants represent the population of interest.

What we keep and what we change. Keep the design: separate the current outlay from deferred payments and test which matters. d_i maps to $\delta_j P_j$ in $K = \delta_j P_j + \text{fees} - E^{\text{trade}}$ in (6), $(p - D)\phi$ to the schedule in $\mathcal{L}_{h,r+1}$, a refund to a predictable jump in y_{hr}, and the probit index to

$v_h(s, \text{buy}) - v_h(s, \text{keep})$ with normal shocks. Change the outcome: Table 2 is $\mathbb{P}(\text{buy} \mid \text{applied here})$, while (10) and (12) need an unconditional monthly probability with waiting. Do not transfer the subprime magnitudes to prime customers.

Questions for the walkthrough.

- Given the imprecise price effect, do we cite \$2,884 as a lower bound, or only the down-payment effect?
- Does bank data vary down-payment requirements for prime customers, or must we identify the effect of K from liquid balances D_{hr}?
- Is the February spike added purchases or purchases moved earlier, and which matters for a 6- or 12-month horizon?

4.5 C5. Initial conditions and baseline

Heckman (1981), initial conditions and incidental parameters. *Why we would use it:* it supplies the term our likelihood is missing when households enter the data partway through their vehicle histories and differ in a persistent way we do not observe: a model for the first observed state given the household's type.

Setup. Individuals $i = 1, \ldots, I$ follow a binary first-order Markov process over $t = 1, \ldots, T$ that starts at a fixed $d(i, 0)$, but the analyst observes it only from period $J > 0$ onward (pp. 179, 183). *Observed:* $d(i, J), \ldots, d(i, T)$, and in extensions covariates $\mathbf{Z}(i, t)$. *Unobserved effect:* a persistent $\tau(i)$ with density $f(\tau)$. No decision problem is specified.

Math walkthrough.

1. **Latent index model** (4.1), p. 181:

$$Y(i, t) = \beta_0 + \gamma d(i, t-1) + \tau(i) + U(i, t), \qquad d(i, t) = 1 \text{ iff } Y(i, t) \geq 0.$$

   γ is state dependence; $\tau(i)$ makes the composite error serially correlated. *Assumptions used:* $E[U] = E[\tau] = 0$, $\sigma_U^2 = 1$, $E[\tau^2] = \sigma_\tau^2$; U serially independent and independent of τ; $d(i, 0)$ fixed and nonstochastic (p. 181).

2. **Transition given** τ (4.2), p. 181:

$$\mathbb{P}[d(i, t) \mid d(i, t-1), \tau(i)] = \Phi\{[\beta_0 + \gamma d(i, t-1) + \tau(i)][2d(i, t) - 1]\}.$$

   Assumptions used: U normal, which the author calls "inessential" (p. 181).

3. **Probability of the first observed state.** Equation (4.3), p. 182, sums the probabilities of all paths from $d(i, 0)$ to $d(i, J)$, so $P[d(i, J) \mid \tau]$ depends on β_0, γ, $d(i, 0)$ and τ (p. 184). In the stationary case, (4.4), p. 182,

$$\Pi_1(\tau) = \frac{\Phi(\beta_0 + \tau)}{1 - \Phi(\beta_0 + \gamma + \tau) + \Phi(\beta_0 + \tau)}, \qquad \Pi_0 = 1 - \Pi_1.$$

   Assumptions used: bounded β_0, γ, τ (ergodicity) and equilibrium by period J. *Check* (from fn. 1): stationarity $\Pi_1 = p_{11}\Pi_1 + p_{01}(1 - \Pi_1)$ with $p_{01} = \Phi(\beta_0 + \tau)$, $p_{11} = \Phi(\beta_0 + \gamma + \tau)$ gives (4.4), which is not a probit (p. 182). *Note:* (4.3) is printed as a product of sums; we read it as nested sums over paths.

4. **Correct likelihood** (4.7), p. 183, for a sample starting at J:

$$\mathcal{L} = \prod_{i=1}^{I} \int_{-\infty}^{\infty} \prod_{t=J+1}^{T} \Phi\{[\beta_0 + \gamma d(i,t-1) + \tau][2d(i,t)-1]\}\, P[d(i,J) \mid \tau]\, f(\tau)\, d\tau.$$

   The conditional version (4.6) divides by $\int P[d(i,J) \mid \tau] f(\tau)\, d\tau$. Either is consistent as $I \to \infty$ for $T \geq 2$ (p. 184). *Assumptions used:* parametric f (normal "for convenience," p. 182).

5. **Naive likelihood** (4.8), p. 184: the same expression with $P[d(i,J) \mid \tau]$ omitted, treating $d(i,J)$ as exogenous. It is inconsistent for $\beta_0, \gamma, \sigma_\tau^2$ (p. 184); the proof is only sketched (fn. 3). *Check* (our reconstruction): by Bayes' rule $P[d(i,J) \mid \tau] f(\tau) \propto f(\tau \mid d(i,J))$, so (4.6) integrates over τ *given* the first state and (4.8) over $f(\tau)$. They agree only if $P[d(i,J) \mid \tau]$ is flat in τ: degenerate f, or a new process at J (p. 179). Those starting in state 1 have higher τ, and (4.8) credits that persistence to γ.

6. **Exact solutions and their data requirements** (pp. 183–185). (a) The full history from $d(i,0)$, likelihood (4.5), p. 182, is "hard to come by" (p. 184). (b) Initial stationarity, (4.4) in (4.7), is "computationally forbidding" (p. 184) and, with $\mathbf{Z}(i,t)\boldsymbol{\beta}$ in place of β_0, needs a stationary $\mathbf{Z}$ process, which "excludes time and age trends" (p. 184). (c) Presample $\mathbf{Z}$ can be integrated over a finite-parameter density g estimated elsewhere; plugging in means is not correct, because $\mathbf{Z}$ enters nonlinearly (p. 185).

7. **Fixed effect likelihood** (4.9), p. 186. Treating each $\tau(i)$ as a parameter, $P[d(i,J) \mid \tau(i)]$ cancels from (4.6):

$$\mathcal{L} = \prod_{i=1}^{I} \prod_{t=J+1}^{T} \Phi\{[\beta_0 + \gamma d(i,t-1) + \tau(i)][2d(i,t)-1]\}.$$

   It needs no presample data and no f, but stayers give $\hat{\tau}(i) = \pm\infty$ and drop out, and for fixed T the inconsistent $\hat{\tau}(i)$ contaminate $\hat{\gamma}, \hat{\beta}$: the incidental-parameters problem (pp. 186–187). *Check* (fn. 9, p. 187): with $\gamma = 0$, $T = 2$ and a period effect β, movers give $\hat{\tau}(i) = -\beta/2$ and, as $\sigma_\tau^2 \to 0$, $\operatorname{plim} \hat{\beta} = 2\beta$.

8. **Approximate solution** (pp. 188–189). Model the first state by a reduced-form probit, $Y(i,J) = \sum_{l=0}^{J} D(l)[\mathbf{Z}(i,l)] + \mu(i,J)$, $D(l)$ polynomials in practice (fn. 11), with $\mu(i,J)$ freely correlated with $\tau(i) + U(i,t)$, $t > J$, and no cross-restrictions to the structural parameters. *Assumptions used:* consistency for $I \to \infty$, fixed T, holds "assuming that the model is exact" (p. 189). *Note:* by step 3 the true marginal is not a probit, so in our reading consistency is not guaranteed; the correlation's parameterization is not stated.

Results to note. Monte Carlo, 25 replications of $I = 100$, no dispersion reported (pp. 189–193). Without a lagged state (Table 4.1, p. 191), the fixed effect probit at $T = 8$ is biased at most 10%, toward zero; the third design reads $\beta = -0.1$ in the table header but $\beta = 0.1$ in the text (p. 189), and the entries $(-0.10, -0.09, -0.10)$ fit -0.1. With a lagged state (Table 4.2, p. 193), fixed effects at $T = 8$ give $\hat{\gamma}$ of 0.03 to 0.25 for true 0.5 and the wrong sign in all six cells for true 0.1; the approximate estimator at $T = 3$ gives 0.54 to 0.70 for 0.5. All estimators are biased at $I = 100$, $T = 3$ (p. 194). *Illustration with invented parameters, not evidence* (seed 20261023, $I = 1000$, 100 replications, true $\gamma = 0.5$; mean $\hat{\gamma}$, standard deviation in parentheses): with 3 observed periods, an exogenous first state gives 1.350 (0.077), the stationary correction 0.507 (0.172), the approximate initial probit 0.503 (0.195); with 8 periods, 0.632 (0.056) versus 0.502 (0.049) for both corrections. With true $\gamma = 0$ and 8 periods, a pooled probit gives 0.880 (0.046).

Assumptions: stated and implicit.

- *Stated by the author:* first-order Markov binary state; $\tau + U$ components of variance with U serially independent and independent of τ; normal U and, for convenience, normal f; bounded exogenous $\mathbf{Z}$ (p. 184); exactness of the approximate initial probit (p. 189).
- *Implicit, in our reading:* τ independent of $\mathbf{Z}$; independence across individuals; the same stable process before and after J; no forward-looking behavior.

What we keep and what we change. Map $i \to h$, $J \to$ the first month household h appears in bank data, $\tau(i) \to$ the household type, and $d(i, J) \to$ the first observed state s_{hJ} in (5). Keep step 4: our likelihood, built from (9) and (7), must include $\mathbb{P}(s_{hJ} \mid \text{type, pre-window information})$, since households seen with younger vehicles are disproportionately high-turnover types. Keep step 7 as a warning against household fixed effects with lagged fleet states in short windows. Change step 8: the initial state is multivariate (fleet $\mathcal{X}$, ages, loans $\mathcal{L}$, balances D), so a binary probit does not apply; with discrete types, the analog is type probabilities that depend on s_{hJ} and pre-window covariates (Arcidiacono and Miller, 2011). Step 3's stationarity conflicts with trends in M_r.

Questions for the walkthrough.

- What pre-window information (account history, bureau fields, loan origination dates) do we have for each household, and does it predict s_{hJ}?
- Do we model the full joint initial state, or a lower-dimensional summary, and what does that approximation cost in consistency (the p. 189 caveat)?
- Given the 25-replication evidence, should we run our own Monte Carlo at bank-panel sizes before choosing an initial-conditions estimator?

Shumway (2001) TODO: pending full text. Discrete-time hazard estimated as a multi-period logit, the finance-standard baseline. To verify: the equivalence result and the out-of-sample evaluation. Supplies the baseline $F_h(t, H) = 1 - \prod_r \{1 - \lambda_h^P(r; t)\}$ that the structural model must beat.

4.6 Compatibility summary

Combination	Verdict	Reason
Rust + Schiraldi	Compatible structure	Same EV1 / CI engine; Schiraldi's aggregate identification does not transfer
Rust/Schiraldi + Gavazza–Lanteri	Needs assumptions	Add EV1 shocks to the car choice; solve discrete choice with continuous saving; convert annual to monthly; state utility curvature
Rust + Li et al.	Conflict under CI	A latent state known to the household violates CI; needs a Markov-unobservable estimator (pending)
Any structural likelihood + Heckman	Needs initial-state model	Required once household types are added
Adams et al. + structural model	Validation only	Static probit on subprime applicants; coefficients cannot be inserted

Parameters do not transfer across period lengths or shock scales without conversion: an annual $\beta = 0.9$ is about 0.991 per month, and probit and logit coefficients differ in scale by a factor of roughly 1.6 to 1.8.

Open questions.

- Is the first objective a forecast of $F_h(t, H)$, for which the normalizations above do not affect fit, or a counterfactual response to terms, for which they do?
- Should household Need be a latent Markov state, or are persistent household types sufficient for a first version?
- Is a monthly decision period required?
- How should vehicle purchases not financed through Chase, which the bank may not observe, enter the outcome?

5 Literature Review

5.1 The Economic Question: Why Does a Household Purchase a Vehicle at a Particular Time?

The object of interest is not simply the number of cars demanded in a market or the type of car a consumer selects. It is the occurrence of a vehicle purchase over a specified future interval. At a forecasting date t_0, the empirical question is whether the information then available about a household helps explain the probability that it will acquire a vehicle over the following six or twelve months, with twenty-four months as an extension. A household that does not purchase during the next six months may nevertheless purchase during the subsequent six months; another may replace an existing car without changing the number of cars owned. These are not equivalent observations. A theory of automobile purchase timing must account for the household's current transportation position, its capacity to finance a transaction, the alternatives it considers, and the value of delaying the decision.

This review examines the evidence underlying the three-part framework introduced above: *Need*, *Ability*, and *Choice*. Need denotes the circumstances that create or alter the motivation to change the household's vehicle holdings. Ability denotes the financial opportunities and constraints that make particular transactions feasible. Choice denotes the selection among feasible actions, including purchasing a particular vehicle, retaining the existing fleet, relying on another transportation mode, or waiting. The layers organize the explanation of a purchase; they are not assumed to be separately observed, independent, or necessarily chronological. A change in employment may simultaneously alter travel requirements and income, while an anticipated purchase may lead a household to accumulate savings before a vehicle is actually needed. The literature informs the candidate formulation in Section 3; it does not uniquely determine its functional forms or establish identification.

A distinction in the literature is essential at the outset. Aggregate differentiated-product demand models explain market shares, substitution patterns, prices, and product characteristics. Individual or household models of vehicle holding and transactions address whether, when, and how an existing fleet changes. Duration and event-history methods focus on the time until such a change occurs. These traditions overlap but do not estimate the same object. The choice-based foundations of McFadden (1974) and the aggregate-demand estimators of Berry (1994); Berry et al. (1995) are important to the vehicle-selection component; they are not, by themselves, household-level forecasts of purchase timing. The latter problem has a more direct empirical lineage in vehicle-holding duration and competing-risk transaction models (de Jong, 1996; Yamamoto et al., 1999; Mohammadian and Rashidi, 2007).

5.2 A Decomposition of Need, Ability, and Choice

The three terms identify different questions that are often combined in a single purchase indicator. Observing a purchase establishes that a transaction took place, not why it took place. Observing no purchase is even less informative: the household may be content with its current transportation, may want to purchase but lack acceptable financing, or may be capable of purchasing and prefer to wait. The distinction is therefore analytically consequential. It also prevents financial ability from being confused with willingness to purchase and distinguishes a change in the attractiveness of a car from an increase in the need for transportation.

What belongs in the Need layer? Need should not be reduced to the arrival of a single exogenous shock. The relevant questions are whether the household's existing transportation arrangements continue to meet its requirements; which changes make them less satisfactory; how quickly the discrepancy is expected to grow; and whether the change is temporary, permanent, anticipated, or unexpected. There are several distinct pathways:

1. *Fleet deterioration and contractual deadlines.* An existing vehicle may become less reliable, costly to maintain, less valuable at trade-in, or due to be returned at lease expiration. The household can keep the vehicle, repair it, or begin a replacement process; deterioration raises pressure to adjust but does not uniquely determine when a purchase must occur.

2. *Household composition.* Childbirth, partnership formation or dissolution, the arrival or departure of another adult, and a teenager reaching driving age may change the number of drivers, the number of required trips, or the characteristics that a suitable vehicle must have.

3. *Employment and spatial circumstances.* A new job, a different commute, residential relocation, parking availability, and access to public transportation may alter the services a household obtains from its existing fleet and from non-car alternatives.

4. *Sudden losses and unexpected changes.* Theft, collision, or mechanical failure can rapidly reduce available transport capacity; conversely, the loss of a job or an adult leaving the household can reduce the desired stock of vehicles.

5. *Anticipated transitions and discretionary upgrading.* A household may replace a functioning car before an expected birth or move, or because a safer, more efficient, or otherwise preferred product becomes attractive. A strict rule requiring a discrete emergency or life event before every purchase would exclude these transactions by assumption.

These channels are not proposed as mutually exclusive event categories. Their purpose is to specify the economic content hidden by a generic indicator for "need to buy." A deterioration process, for example, may coincide with an employment change; a desire to upgrade may become urgent when the current vehicle requires a large repair.

What belongs in the Ability layer? The first question is not simply whether a bank would approve a loan. It is which purchase and financing arrangements are feasible under the household's available resources and prevailing terms. Relevant subquestions include the amount of immediately accessible cash; the affordability of an initial payment and recurring obligations; the consumer's access to unsecured or secured credit; the effect of interest rate, maturity, loan-to-value limits, and down-payment requirements; the equity or debt attached to a vehicle being traded; and whether a cheaper used car, a lease, or a cash purchase changes feasibility. These conditions may determine the

set of attainable vehicles rather than provide a binary answer to whether any car can be purchased. They are also time-dependent: wealth, income, outstanding debt, credit supply, and quoted loan terms can change before the transaction occurs.

What belongs in the Choice layer? Even with purchasing motivation and adequate resources, the household faces multiple margins of adjustment. It may add a vehicle, replace one, retain the existing fleet, dispose of a car without replacement, or obtain transportation through another mode. Conditional on acquiring a vehicle, it must select attributes such as vehicle class, vintage, technology, price, and financing arrangement. The household also chooses *when* to act. Buying now sacrifices the opportunity to wait for more information, a different price, or more favorable financing; waiting may incur repair costs, unreliable mobility, or lost convenience. A model that collapses all these possibilities into "buy/not buy" may still predict a binary outcome, but the omitted distinctions limit its behavioral interpretation.

Interaction rather than mandatory gates. The ordering Need–Ability–Choice is a way to reason about the transaction, not an assumption that a need event must first occur, financing must next be approved, and a choice must then be made. Some purchases occur without identifiable objective need; some households adapt their chosen vehicle to financing constraints; and some households anticipate a future need and prepare financially. For that reason, this review uses the three layers as potentially interdependent mechanisms. A sequential probability decomposition may be convenient for a carefully defined set of binary events, but no independent-filter interpretation is required by the framework. Whether each mechanism can be identified as a distinct statistical quantity is an empirical question addressed below.

5.3 Need: Durable-Goods Adjustment and Changing Transportation Requirements

5.3.1 Why replacement pressure can accumulate without an identifiable shock

Automobiles are durable assets that deliver transportation services over multiple periods. The household's existing vehicle stock can remain usable after its preferred stock or attributes have changed. Adjusting the stock involves transaction costs, search effort, possible losses in resale value, and the commitment of financial resources. These costs provide an economic explanation for periods of inaction punctuated by relatively infrequent transactions. In a stylized (S, s) adjustment rule, the household tolerates deviations from a preferred durable-goods position until an adjustment boundary is crossed. The threshold is endogenous to preferences, costs, income risk, and existing holdings; it is not the occurrence of a separately observed life event.

Eberly (1994) tests an (S, s) rule using automobile purchases and relates the distribution of durable-goods holdings to aggregate expenditure dynamics. The evidence is consistent with this type of adjustment for a substantial subset of households, but not for all households. The result is important because it provides a mechanism through which a need to adjust can accumulate gradually. Attanasio (2000) further studies estimation and aggregation of heterogeneous (S, s) rules for automobiles, emphasizing that inertia and timing can emerge from household-level adjustment behavior. Neither study implies that a household's latent need can be read directly from a single observable event. Rather, each motivates attention to the starting fleet, the desired fleet, the cost of adjustment, and heterogeneity in the adjustment threshold.

This literature raises several questions for the proposed Need layer. Does the household own no vehicle, one vehicle, or several vehicles? If it owns a car, how long has it held it, what is

its age and condition, and what costs would continued ownership impose? Is the contemplated purchase a replacement, an addition, or an upgrade? A household with one unreliable vehicle and a household with two relatively new vehicles may experience the same income change yet face different pressures to transact. Conversely, two households with cars of the same age may differ because their maintenance costs, travel patterns, and willingness to tolerate failure differ. Age of the vehicle is therefore a potentially useful state variable, not a sufficient definition of need.

5.3.2 Household lifecycle events, initial ownership, and mobility context

The transportation literature supplies direct empirical evidence that vehicle transactions are associated with changes in household circumstances. Using differently structured data from France and Japan, Yamamoto (2008) studies vehicle transactions and changes in household ownership, finding associations with changes in adults, employment, and residence. The French analysis concerns transaction hazards, while the Japanese analysis concerns changes in vehicle counts. A notable qualification is that the improvement in statistical fit attributable to life-course event covariates is relatively modest in that study. An association with events therefore does not establish that such events alone explain a large proportion of transaction timing. Oakil et al. (2014) explicitly investigate whether car ownership changes occur in anticipation of major events or upon their occurrence, providing evidence that transactions can precede expected changes such as childbirth and employment transitions.

Initial ownership matters. Clark et al. (2016) distinguish movements from zero to one car, one to two cars, and reductions in the fleet using a large UK household panel. The effects of household composition and spatial context vary with the starting state: a life event need not have the same implication for a household without a car as for one already owning two. Public transport accessibility likewise changes the value of additional vehicle ownership. The framework therefore must not treat "need" as an invariant response to the same nominal event. Its meaning depends on current holdings, available alternatives, and the number and characteristics of household members.

More recent evidence reinforces both the significance and the limits of lifecycle factors. Gu et al. (2021) permit distinct household segments in a latent-class competing-risks formulation and report heterogeneous responses to life-course changes. Using the U.S. Panel Study of Income Dynamics, Oshanreh et al. (2025) examine vehicle purchase timing with demographic lifecycle covariates. Its use of interval-observed purchases and household-level records is germane to a forecast requiring precise monthly horizons: the existence of a statistically useful lifecycle variable does not establish that the purchase month can be identified from the dataset. Hossain and Fatmi (2025), in contrast, study the transition from zero-car status to a household's first vehicle and find that employment, residential, and family changes relate to how long a household remains car-free. That event is informative but differs from replacement of an existing car.

These studies justify a Need mechanism incorporating both persistent states and changing events. They also support a narrower conclusion than a universal "event triggers purchase" rule. Life events sometimes change the number of vehicles required, sometimes change vehicle characteristics without changing the fleet size, and sometimes create incentives to dispose of rather than acquire a car. A forecasting system must distinguish these outcomes if Need is to carry explanatory content.

5.3.3 Need as an evolving, potentially unobserved state

One conceptual representation is a difference between desired transportation services and those supplied by the current fleet and available alternatives. Call this difference a *mobility mismatch*. This is an organizing construct, not an observed variable or an already-estimated index. It may

increase because a current car deteriorates, because household travel requirements increase, or because a new type of vehicle offers valued services. It may decrease after a move nearer to work or after an adult leaves the household. The relevant empirical questions are whether this mismatch can be proxied by observed ownership, trip-making, vehicle condition, lifecycle events, and spatial characteristics, and how much purchase-timing variation such proxies explain. This conception preserves both shock-driven purchases and purchases following gradual adjustment pressure without imposing a zero probability of discretionary acquisition.

5.4 Ability: Liquidity, Borrowing Constraints, and the Feasible Vehicle Set

5.4.1 Financial resources are not equivalent to current purchasing capacity

A household may wish to change vehicles yet lack sufficient cash to make the required down payment or to absorb the resulting monthly payment. Conversely, a household that would not qualify for a large loan may be able to purchase an inexpensive used car or transact without borrowing. These cases show why Ability should be represented as financial feasibility relative to a proposed transaction, not as a universal binary attribute of the household. Relevant resources include current income and its stability, liquid balances, available down-payment funds, net equity in the current vehicle, existing debt commitments, and the terms on which additional credit is offered. The constraints apply jointly to the vehicle selected and the financing used.

Evidence from auto finance illustrates the difference between wealth, income, and usable liquidity. Attanasio et al. (2008) estimate loan-demand responsiveness to interest rate and maturity using automobile loan contract data. Except for high-income households, the study finds substantial responsiveness to maturity and weaker responsiveness to the interest rate, a pattern the authors interpret as consistent with binding borrowing constraints. Longer maturity can make a vehicle easier to finance by reducing the required periodic payment, even though it need not reduce the total economic cost of borrowing. The distinction is relevant for a timing question: a financing offer may shift a prospective purchase into the current period without changing the household's underlying transportation requirements.

The study by Adams et al. (2009) examines a subprime auto retailer and finds that purchases respond strongly to the availability of cash during tax-rebate season and to down-payment requirements. The result is particularly revealing because a household may experience a temporary improvement in the capacity to transact without a commensurate improvement in permanent income. The study also emphasizes informational problems faced by lenders, so a household's access to credit need not be determined solely by its willingness to borrow. The study by Jiang et al. (2021), using a consumer panel with credit and employment information, reports that lump-sum bonus payments are associated with increased demand for auto loans, whereas the effects on subsequent delinquency differ from those of an increase in base salary. The distinction suggests that temporary funds and recurring earnings may enter household financing decisions differently. These findings support modeling the timing and form of available resources, not merely annual income or a static credit score.

5.4.2 Ability changes the vehicle choice set and the transaction itself

The financial constraint operates at several linked margins:

1. *Up-front funds.* What cash, trade-in equity, rebates, or other resources can cover a down payment, taxes, and transaction fees? Does negative equity on the existing vehicle reduce those resources?

2. *Recurring payment capacity.* What monthly obligation can the household sustain alongside housing, other debt, insurance, maintenance, and living costs? Does the prospective obligation remain affordable under a plausible income shock?

3. *Credit availability and contract terms.* Which lenders, maturities, rates, maximum principal amounts, and collateral restrictions are available? An available loan is not necessarily a loan the household finds attractive.

4. *Substitution across vehicles and financing modes.* Can a less expensive used vehicle, smaller down payment with a different lender, leasing, or outright cash purchase satisfy the transportation objective?

5. *Future financial conditions.* Would postponement permit more savings, repayment of existing debt, improvement in credit standing, or access to more favorable rates? Alternatively, could income uncertainty make postponement preferable despite current affordability?

The interaction between financing conditions and vehicle selection has direct empirical support. Argyle et al. (2021) exploit variation in credit terms across a large sample of used-car transactions. Borrowers offered shorter loan maturities respond by reducing expenditure, substantially through shifts to lower-quality vehicles, while some adjustment also occurs through negotiation of vehicle prices. In this setting, the consumer's effective choice set is not fixed independently of credit terms. This undermines a simplistic "approve financing, then independently choose a car" interpretation. Financing constraints, car quality, and transaction price are jointly relevant to what a household ultimately purchases.

Two further distinctions are needed. First, loan approval concerns a lender's decision as well as household affordability. An applicant can be declined or offered unattractive terms, while another household may finance the same vehicle with cash or a different lender. Second, the observed set of loan originations is selected: it excludes rejected applicants, potential purchasers who never apply, and purchases made without an observed loan. Consequently, one cannot infer the frequency of unmet Need or the degree of financial Ability from originated loans alone. The finance literature identifies mechanisms, but separate data and assumptions would be required to measure how these mechanisms operate in a general population of prospective vehicle buyers.

5.4.3 What the Ability literature establishes and leaves unresolved

Taken together, Attanasio et al. (2008); Adams et al. (2009); Argyle et al. (2021); Jiang et al. (2021) establish that borrowing terms and liquidity are economically consequential for vehicle transactions. Their outcomes, however, are not interchangeable. Some studies investigate loan demand or borrowing contracts, others observe vehicles purchased through a particular sales or financing channel, and still others study the car's price or quality. None, by itself, identifies the probability that a particular household will acquire *any* vehicle over a future six-month interval. The implication for the framework is twofold: financial feasibility must be allowed to affect both the likelihood and the characteristics of purchase, and the outcome under investigation must distinguish a vehicle purchase from the origination of a loan at a particular institution.

5.5 Choice: Available Actions, Substitution, and the Option to Wait

5.5.1 Vehicle purchase is a choice among heterogeneous alternatives

A household choosing whether to transact faces more than a homogeneous automobile product. A possible decision sequence is whether to change the current fleet, whether to add or replace

a car, which vehicle type to obtain, and how to finance the transaction. The alternatives also include retaining and repairing existing vehicles, disposing of a car without replacement, public transportation, ride services, and other mobility arrangements. These possibilities cannot all be treated as identical forms of "not buying." The outside option in a car-choice model is a modeling category; its real economic content depends on the household's current holdings and mobility environment.

Random-utility models supply a foundation for representing substitution among differentiated alternatives. The conditional-logit formulation of McFadden (1974) makes the probabilities of alternative choices depend on their attributes and on the specified distribution of unobserved utility. Standard multinomial logit entails restrictions on substitution, most familiarly independence of irrelevant alternatives under its maintained error assumptions. Nested specifications relax some of these restrictions by permitting groups of alternatives to share unobserved components. Applying nested logit to the automobile holdings of one-car households, Berkovec and Rust (1985) demonstrate an early disaggregate approach to a large set of makes, models, and vintages. The substantive lesson is not that a particular nesting structure is automatically correct: it is that the definition of the feasible alternatives, the grouping of close substitutes, and the relevant ownership state matter to the resulting choice probabilities.

The aggregate demand contributions of Berry (1994); Berry et al. (1995) address a distinct problem. In markets where firms set prices in response to product characteristics observed by them but not by the analyst, price may be correlated with unobserved quality. Berry (1994) derives an inversion from market shares to mean product utility to facilitate instrumental-variables estimation; Berry et al. (1995) estimate differentiated-product automobile demand with heterogeneous tastes and an oligopoly supply side. This literature is essential for reasoning about substitution and price endogeneity in product markets. It does not directly recover the current liquidity, lifecycle state, or future purchase date of a named household from aggregate shares. The two levels of analysis should therefore be cited for their specific contributions rather than treated as interchangeable estimators.

5.5.2 The household's nested decisions do not necessarily form a fixed sequence

For purposes of the framework, the Choice layer can be decomposed into at least four related decisions:

1. *Adjustment versus continuation.* Does the household modify its fleet this period or continue with its current arrangement?

2. *Transaction type.* If it adjusts, does it acquire an additional vehicle, replace an existing one, or dispose of a vehicle without replacement?

3. *Vehicle attributes.* Conditional on acquisition, which class, age or vintage, technology, fuel economy, quality, and price tier provide the best match to preferences and constraints?

4. *Transaction and financing arrangement.* Should the household buy new or used, lease, pay cash, obtain a loan, use a trade-in, or postpone the entire transaction?

The listed sequence is a decomposition for analysis, not proof that consumers decide in that order. A monthly-payment ceiling can cause a household to change the desired vehicle type before making a final decision to buy; observing an attractive vehicle offer can accelerate the purchase date. The recent first-purchase study by Hossain and Fatmi (2025) connects a joint model of vehicle attributes to the hazard of leaving the car-free state through a logsum measuring the attractiveness of vehicle alternatives. The significance of that logsum in the timing equation provides evidence

that the character of the available vehicle options and the timing of acquisition are related. It is not evidence that an identical specification will apply to households replacing cars they already own.

5.5.3 Waiting is an active economic alternative

Static choice models represent the alternatives available at a particular occasion but do not by themselves specify how the household values future opportunities. In a durable-goods market the household generally retains the option to purchase later. Continuing with the current car preserves liquidity and permits future learning about income, prices, reliability, and product offerings; it can also impose inconvenience, repairs, or risk of failure. Hence "does not buy today" is not equivalent to the absence of preferences. It can be a positive selection of the continuation alternative.

Dynamic automobile models make this intertemporal margin explicit. Adda and Cooper (2000) develop a stochastic dynamic model of household vehicle ownership to examine French scrappage subsidies. The analysis shows that incentives can bring purchases forward, affecting subsequent market activity through the distribution of vehicle ages. Schiraldi (2011) develops a structural dynamic model of new and used automobile replacement in which observed holding and buying behavior informs estimation of transaction costs. These papers offer theoretical support for treating waiting, holding, and purchasing as related options. They do not imply that every predictive application requires estimation of a full structural dynamic program.

The action-value equation (3) expresses this intertemporal comparison using the notation of the proposed formulation: a feasible action delivers current utility and a discounted expected continuation value. The state contains the current fleet, transportation requirements, financial circumstances, and relevant market information. Waiting can be preferred because its total expected value exceeds the value of immediate purchase, because the current fleet remains adequate, or because present financing terms make purchase unattractive. This is a decision-theoretic rationale, not an identification result. The data and assumptions needed to distinguish these explanations remain to be established.

5.5.4 Choice and transaction timing are related but different outcomes

A product-choice model may condition on the fact that a consumer has entered the market. A purchase-timing model must explain the time until market entry or transaction and distinguish households that are still at risk of purchasing from those whose event has already occurred. Similarly, conditioning on the vehicle actually bought creates selection: the available sample contains only purchasers and does not identify preferences among non-purchasers without additional assumptions. A framework that aims to predict automobile acquisition must therefore avoid treating observed buyers as a representative sample of all households potentially deciding whether to buy.

5.6 From Decisions to Time: Duration, Competing Risks, and Vehicle Transactions

5.6.1 Why transaction timing is not reducible to static ownership

Ownership at a particular date is a stock. Vehicle purchase, replacement, and disposal are flows that change or renew that stock. A cross-sectional indicator for owning one or two cars cannot establish when a car was purchased, whether it replaced an older car, or whether the household plans to transact soon. A household that recently replaced its only vehicle and a household that has held an unreliable vehicle for fifteen years can have identical fleet sizes but markedly different near-term adjustment pressures. The time dimension therefore requires information about the beginning and

duration of the relevant ownership or non-ownership spell as well as the event that eventually ends it.

Duration analysis is concerned with an event occurring after time spent in a state. A hazard is the conditional probability or instantaneous rate of an event given that the state has survived until the relevant time. In economic applications, Kiefer (1988) provides a general treatment of duration data and hazards; the transport literature applies related ideas to vehicle holdings. de Jong (1996) models elapsed time between vehicle transactions jointly with vehicle type and use. The study compares alternative duration assumptions and incorporates heterogeneity and time-varying covariates. This is an early recognition that the length of vehicle holding and the vehicle selected at replacement belong to a related system rather than to unrelated cross-sectional analyses.

5.6.2 Acquisition, replacement, and disposal are competing events

The distinction among transaction types predates the 2007 transaction study discussed below. Yamamoto et al. (1999) specify competing risks for replacing a vehicle, disposing of one without replacement, and acquiring an additional vehicle. These outcomes have distinct implications for the household fleet and potentially distinct determinants. Mohammadian and Rashidi (2007) extend the empirical vehicle-transaction literature by developing and comparing independent hazard models and a competing-hazards formulation for purchase, trade, and disposal. The authors include dynamic household and location characteristics, time-varying income and number of adults, and an externally supplied logsum for vehicle class and vintage. Their construction is especially relevant to the proposed framework: it recognizes that transaction timing responds to both the household's evolving circumstances and the desirability of available vehicles. It does not, however, estimate a separate latent Need equation, a financing-feasibility equation, and a conditional Choice equation.

The competing-risks framework avoids interpreting every exit from an ownership state as the same event. A vehicle disposal without replacement may reflect reduced transport need or financial pressure, whereas an acquisition may indicate an additional driver or changing preferences. Replacement can produce a vehicle purchase without increasing fleet size. If the observable endpoint is *any purchase*, an acquisition and a replacement generally both count as purchases; disposal without acquisition is a different transition. The exact mapping depends on the transaction codes available in a particular dataset, since labels such as "trade" and "replacement" may be recorded differently.

5.6.3 The relationship between hazards and purchase probabilities

To distinguish the endpoint used in much of this literature from the main purchase target, fix the end-of-month forecast origin t_0. Let $\widetilde{T}_h$ be the month of the household's *first transaction of any type* after t_0, and J_h its type. For mutually exclusive types $k \in \mathcal{K}$ and months ahead $r = 1, 2, \ldots$, define the forecast-origin cause hazard

$$\lambda^{\mathrm{tr}}_{hk}(r; t_0) = \mathbb{P}\Big(\widetilde{T}_h = t_0 + r, J_h = k \mid \widetilde{T}_h \geq t_0 + r, \mathcal{I}_{h,t_0}\Big). \tag{13}$$

These probabilities condition on the information available at t_0 and on remaining transaction-free. They integrate over later histories within that risk set, rather than substituting future observations. The probability of no transaction through month $t_0 + r$ is

$$S^{\mathrm{tr}}_h(r; t_0) = \prod_{u=1}^{r} \left\{ 1 - \sum_{k \in \mathcal{K}} \lambda^{\mathrm{tr}}_{hk}(u; t_0) \right\}, \qquad S^{\mathrm{tr}}_h(0; t_0) = 1. \tag{14}$$

The cumulative incidence of a first transaction of type k by horizon H is

$$F_{hk}^{\mathrm{tr}}(t_0, H) = \sum_{r=1}^{H} S_h^{\mathrm{tr}}(r-1; t_0)\lambda_{hk}^{\mathrm{tr}}(r; t_0). \tag{15}$$

If $\mathcal{P} \subseteq \mathcal{K}$ collects additions and replacements coded as purchases, then

$$\mathbb{P}\Big(\widetilde{T}_h \le t_0 + H, J_h \in \mathcal{P} \mid \mathcal{I}_{h,t_0}\Big) = \sum_{k \in \mathcal{P}} F_{hk}^{\mathrm{tr}}(t_0, H). \tag{16}$$

Equation (16) is the probability that the *first transaction is a purchase* within the horizon. It differs from $F_h(t_0, H)$ in (4): a disposal followed by a purchase contributes to the latter but not to the former. The no-purchase recursion in (11) handles that intermediate transition. Leasing is outside the purchase endpoint used in this draft and must be coded separately wherever observed.

These first-event identities clarify why a period hazard and a twelve-month probability are different quantities. They also show why a cause-specific hazard alone does not give the absolute probability of a particular first transaction: competing events alter the probability of remaining at risk. The distinction between a cause-specific hazard and cumulative incidence is fundamental in the competing-risks literature (Andersen et al., 2012). Models whose hazards instead condition on evolving covariates must integrate those histories consistently to obtain a forecast available at t_0.

Several observational issues follow directly. A household's recorded ownership spell may have begun before it enters the panel, creating left truncation or uncertainty about the elapsed duration; the last observation may precede the next transaction, creating right censoring. Surveys conducted annually or biennially may identify that a transaction occurred between interviews but not the exact month, producing interval censoring. A household may make more than one transaction over an extended horizon. In that case, a first-event competing-risks formulation does not by itself describe the complete recurrent purchase process; a multistate or recurrent-event extension would be necessary if the research objective requires subsequent acquisitions and replacements. These distinctions must be resolved before statistical estimation, but they do not alter the underlying Need–Ability–Choice explanation.

5.6.4 Model comparison and empirical extensions

The transaction-duration literature has evolved beyond independent hazards. Rashidi and Mohammadian (2011a) consider discrete observation intervals and unobserved heterogeneity in competing vehicle-transaction hazards. Rashidi and Mohammadian (2011b) formulate a dynamic hazard-based system connecting vehicle transactions, residential mobility, and job relocation decisions, rather than treating such changes as unrelated regressors. A related joint study by Rashidi et al. (2011) explicitly addresses interdependencies between vehicle transactions, relocation, and job changes. These studies provide methodological precedent for analyzing household decisions that co-evolve with the transportation state.

Hossein Rashidi and Mohammadian (2016) subsequently propose a discrete competing proportional-hazards model with a nested trivariate copula structure to represent dependence among unobserved components of different transaction types. Importantly, the correlation represented is among transaction outcomes, not direct evidence that latent Need, Ability, and Choice disturbances have the same structure. Gu et al. (2021) use a latent-class competing-risks model to capture heterogeneous household responses to life events. Heterogeneity and dependence solve different problems: a latent class permits different groups to have different behavioral parameters, whereas correlated disturbances express statistical association not explained by the specified observed variables. Both can be relevant, but neither automatically identifies the three proposed mechanisms.

Another comparison is between duration and discrete-choice approaches. Ghasri et al. (2018) examine conceptual and practical differences in modeling time-dependent vehicle ownership outcomes, including differences in data construction and the interpretation of the outcome. Hossain and Fatmi (2025) explicitly join a duration model for first purchase to a vehicle-type choice model. These contributions imply that transaction timing, alternative attractiveness, and heterogeneity can be handled through several econometric architectures. They do not establish that a particular architecture is uniformly preferable across available datasets and forecasting tasks.

5.6.5 The adjacent literature on customer-level purchase timing

Marketing research supplies a complementary perspective because it asks when a household is likely to make its next purchase, sometimes with incomplete purchase histories. In a conditional hazard model of household purchasing, Jain and Vilcassim (1991) examine interpurchase times as functions of observed characteristics, marketing variables, and unobserved heterogeneity. Vakratsas and Bass (2002) use a finite-mixture accelerated failure-time framework to represent segments with different purchasing rates and responses to marketing activity. These are not vehicle-transaction studies and should not be cited as direct evidence for automobile replacement behavior. Their relevance lies in the construction of prospective purchase probabilities and the explicit recognition that the same observable characteristics may conceal heterogeneous purchase rates.

Rossi et al. (1996) demonstrate that household purchase histories can have business value for targeting. For the present banking application, that finding motivates a further distinction: predictive rank ordering, the incremental effect of an offer, and the profitability of acting on a forecast are different outcomes. A household likely to buy a car soon may not be induced to borrow by receiving a promotion, and a household likely to borrow may not select a particular lender. Thus the vehicle-purchase forecast should first be defined independently of a proposed intervention, while any claim about the effectiveness of contacting the household would require additional evidence. The marketing literature motivates attention to household-level histories and heterogeneous purchase rates without replacing the economic content of Need, Ability, and Choice.

5.7 Dependence Across Layers: Economic Mechanisms, Probability, and Identification

5.7.1 Why the three mechanisms can move together

Need, Ability, and Choice can be empirically associated even when they answer distinct economic questions. Consider a household expecting a child. The anticipated change may increase demand for a larger vehicle, while the household simultaneously accumulates a down payment and searches for a suitable car. An observer who sees the eventual purchase cannot infer whether a financing change or a shift in mobility requirements was decisive. Similarly, employment relocation can change both commuting needs and income. A borrower may prefer a more expensive vehicle and attempt to stretch the financing arrangement; a restrictive maturity offer may instead cause selection of a cheaper vehicle. The joint-decision and financing literature supplies credible examples of these interactions (Oakil et al., 2014; Rashidi and Mohammadian, 2011b; Argyle et al., 2021).

The examples motivate a conceptual system in which the propensity to adjust the vehicle stock, financial feasibility, and utility from available actions depend on overlapping observed and unobserved household characteristics. Let N_{hr} represent a possibly latent state of mobility or replacement pressure, and let A_{hr} summarize financial conditions and attainable options. The Choice mechanism maps these states, preferences, and market information into the probability of

purchase. Schematically, one could write

$$\mathbb{P}(B_{hr} = 1 \mid \mathcal{I}_{hr}^{-}) = \int \mathbb{P}(B_{hr} = 1 \mid \nu, \alpha, \mathcal{I}_{hr}^{-})\, dF_{N,A|\mathcal{I}_{hr}^{-}}(\nu, \alpha), \tag{17}$$

where B_{hr} indicates a purchase in decision month r and $\mathcal{I}_{hr}^{-}$ denotes the information available immediately before that decision. Here ν and α are possible values of the Need and Ability constructs, distinct from fleet size and vehicle age in Section 2. The expression permits dependence between Need and Ability through their joint distribution, while the conditional purchase term represents the Choice outcome. It is only a generic probability representation, not an identification argument or a specification selected for estimation. The choice of variables and the interpretation of the latent states remain to be established.

If instead all three layers were defined as required binary conditions N, A, and C, the exact probability chain rule would be

$$\mathbb{P}(N, A, C \mid X) = \mathbb{P}(N \mid X)\mathbb{P}(A \mid N, X)\mathbb{P}(C \mid N, A, X). \tag{18}$$

This expression does *not* assume independence. Multiplying the three *marginal* probabilities $\mathbb{P}(N \mid X)\mathbb{P}(A \mid X)\mathbb{P}(C \mid X)$, by contrast, would generally be unjustified under dependence. More fundamentally, defining a vehicle purchase as requiring an objectively identified Need event would impose a zero purchase probability in its absence, excluding discretionary acquisitions. Accordingly, the proposed framework retains the three economic mechanisms without asserting that they are universally necessary Boolean gates.

5.7.2 Joint estimation does not automatically establish identification

A statistical model may permit correlated residuals, common random effects, latent classes, or a copula dependence structure, but the ability to fit such a model is not the same as the ability to assign a unique interpretation to its components. Observed non-purchase can be consistent with weak motivation, binding financing constraints, or a high value of waiting. If these internal states are not observed, different combinations of structural parameters may generate the same distribution of recorded vehicle transactions. Repeated household observations can reveal histories and within-household variation, but do not, by themselves, identify every latent effect or the direction of causality. Credible separation may require direct measurements of financing offers and applications, information about existing fleets and life events, timing restrictions, credible excluded variables, or explicitly defended functional-form assumptions.

The precedent in Hossein Rashidi and Mohammadian (2016) is therefore methodological rather than a direct validation of a three-equation model of Need, Ability, and Choice. Copulas can represent dependence among specified disturbances; they cannot make unmeasured mechanisms separately observable. Similarly, the heterogeneous responses found by Gu et al. (2021) do not demonstrate that the underlying segments correspond to distinct Need or Ability types. A defensible literature review should distinguish a description of correlations, a behavioral interpretation of those correlations, and causal identification of an effect. This distinction is especially relevant when financial feasibility may be affected by the vehicle selected and by lender decisions made jointly with consumer applications.

5.7.3 Prediction does not require identifying every mechanism

The motivation for an economically decomposed framework is explanatory clarity and the ability to ask targeted empirical questions. Its contribution to prediction must nevertheless be evaluated

separately. A reduced-form event-history model could predict purchases using vehicle age, household changes, and financial characteristics without uniquely identifying latent Need, Ability, and Choice. A more elaborate structural model might explain counterfactual responses to changes in financing terms, but it could impose assumptions that are difficult to validate. The appropriate comparison is not simply between "independent" and "joint" models; it is between models with demonstrably different information requirements, identifying assumptions, and predictive or counterfactual targets. The literature therefore supports investigating interdependence, while leaving open whether estimating separate correlated latent equations is feasible or necessary for the stated prediction objective.

5.8 Synthesis: What the Literature Justifies and What Remains to Be Shown

The literature provides distinct but complementary foundations for the Need–Ability–Choice framework. Durable-goods adjustment theory (Eberly, 1994; Attanasio, 2000) explains why a household can remain inactive while adjustment pressure accumulates; lifecycle and transportation studies (Yamamoto, 2008; Oakil et al., 2014; Clark et al., 2016; Gu et al., 2021) show that changing household circumstances and initial ownership states matter to actual transactions. The consumer-credit literature (Attanasio et al., 2008; Adams et al., 2009; Argyle et al., 2021; Jiang et al., 2021) demonstrates that liquidity, loan structure, and credit terms can affect the feasibility, timing, and composition of vehicle purchases. Discrete and dynamic choice models (McFadden, 1974; Berkovec and Rust, 1985; Adda and Cooper, 2000; Schiraldi, 2011) establish why the household compares differentiated vehicles, current ownership, and waiting. Transaction-duration models (Yamamoto et al., 1999; de Jong, 1996; Mohammadian and Rashidi, 2007; Rashidi and Mohammadian, 2011a; Hossein Rashidi and Mohammadian, 2016) provide the apparatus for distinguishing the timing and types of observed fleet changes.

The decomposition is therefore theoretically motivated, but it is not yet an empirically verified three-layer structural model. The literature justifies keeping separate the questions *what creates the motivation to adjust?*, *which adjustments are financially possible?*, and *which feasible action is preferred at which time?* It also demonstrates why these questions cannot be answered by observing purchases alone. At least five unresolved issues follow for a research program organized around the framework.

First, the unit and event definition. A household-level acquisition is not the same as an individual's purchase or a loan originated at a particular bank. Fleet additions and vehicle replacements are different transactions; both may produce loan demand, but not necessarily with the same financing mechanism. The working estimand in Section 3.1 specifies purchases through additions or replacements. Its implementation still requires transaction codes and a household definition that handle multiple vehicles and drivers consistently.

Second, the observability of Need. Fleet age, maintenance costs, lease expiration, lifecycle events, and transport accessibility may proxy for changing adjustment pressure, but none uniquely measures motivation. Research is needed to determine which of these variables are observable before the forecast date and whether their predictive value depends on the household's initial ownership state.

Third, the observability of Ability. Income and credit scores are incomplete measures of financial feasibility. Relevant information may include liquid assets, payment burdens, contract offers, down-payment requirements, and vehicle equity. Observed loan outcomes are themselves

selected by applications and lender decisions; the implications for population-wide vehicle-purchase prediction need to be made explicit.

Fourth, timing, anticipation, and dependence. Household changes can affect several layers before the observed transaction. Published studies offer ways to model time-varying characteristics, endogeneity, unobserved heterogeneity, and dependence, but do not identify a unique three-layer specification. The data must support temporal ordering and distinguish historical information from future events that were not known at the forecasting origin.

Fifth, what constitutes a useful forecast. A time-to-event model produces period hazards, while the stated application requires cumulative probabilities of acquisition over multiple horizons. These probabilities should be coherent across horizons and calibrated against observed outcomes, with appropriate treatment of censoring and competing events. Comparisons with simpler survival or discrete-time models are required before attributing value to additional structure. This is a proposed evaluation criterion, not a claim of an established forecasting advantage.

Taken together, the reviewed work motivates treating automobile purchase timing as the observed result of evolving transportation requirements, financially feasible alternatives, and intertemporal choices. The purpose of the Need–Ability–Choice framework is to make those determinants explicit and expose the questions hidden inside a binary purchase indicator. The candidate utility formulation in Section 3 makes these questions mathematically explicit. The next task is to establish which mechanisms can be measured and distinguished with available data, justify the associated assumptions, and evaluate the resulting purchase probabilities without using information unavailable at the prediction date.

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